



Project Thunderbird

DRAFT

Sell-side analysis

—

July 2023

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July 24, 2023

Private and confidential

Ms. Janice Campbell
Chief Financial Officer
177448 Canada Ltd
6450 Kestrel Rd,
Mississauga, ON L5T 1Z7

Project Thunderbird

We have completed our procedures to assist 177448 Canada Ltd (“Client” or “you”) in performing financial due diligence in connection with your assessment of strategic alternatives (the “Transaction”) for 177448 Canada Ltd (the “Company”, or “Target”) in accordance with the terms of our engagement letter dated April 24, 2023 including its Terms and Conditions for Advisory and Tax Services (the “Engagement Agreement”).

Objective

The objective of our engagement was to assist you as you evaluate potential strategic alternatives for the business. Our work was conducted based on information provided by you and discussions with the Company’s CFO, CEO, and private equity sponsor.

The scope of our work is to provide information to you and any prospective investor or purchaser parties on a non-reliance basis and does not in any way involve advice or recommendations to any prospective investor or purchaser party as to whether to proceed with the transaction. Each prospective purchaser should complete additional due diligence procedures to the extent it considers necessary.

Please review the following documents in the appendices, which set out the basis and limitations of our work performed:

Important notice



Basis of Information

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board (“AASB”) in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target’s internal control over financial reporting or on the information presented in our report and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was received from April 24, 2023 to July 24, 2023. Since many aspects of the prospective transaction have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring after July 24, 2023. We have reviewed this report with Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of the business and, as such and as agreed in the Engagement Agreement, this report may be provided to any prospective purchaser parties on a non-reliance basis and does not in any way involve advice or recommendations to any prospective purchaser party as to whether to proceed with a transaction. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

[DRAFT]

Basis of analysis

Objectives	• Our engagement focuses on the quality of earnings, net working capital analysis, and summary of business trend analyses. • Tax, information technology, human resource or employee benefit, insurance, operational/integration/synergy analysis were not performed as part of our engagement.
Information overview and access	• The analysis contained in this report was prepared based on the following sources of information: – Monthly trial balances for fiscal year ended December 31, 2021, 2022, and year to date March 31, 2023. – Management internal financials; – Discussions held with Management, including Chief Financial Officer. – Audited financial statements and audit work paper access for fiscal years ended December 31, 2021 and 2022. • The financial information provided is based in Canadian dollars, unless otherwise noted.
Basis of accounting	• The Company prepares annual financial statements in accordance with ASPE with a fiscal year end of December 31. • The Company's financial statements are audited by KPMG LLP. See Appendix 1 for reconciliation of the trial balance information (utilized as the basis of the analyses contained in this report) to the audited financial statements. • The information presented for YTD Mar-23 has not been audited. • See Section 4 for summary of the Company's accounting processes and policies.
COVID-19	■ On March 11, 2020, the COVID-19 outbreak was declared a pandemic by the World Health Organization. The situation is dynamic and the ultimate duration and magnitude of the impact on the economy and the Company are not known at this time. These impacts could include potential future decreases in revenue or the profitability of ongoing operations along with impacts to the Company's cash flows. Other financial impacts that could occur though such potential impact are unknown at this time. The Quality of Earnings presented in this report does not adjust EBITDA for the impacts from COVID-19.

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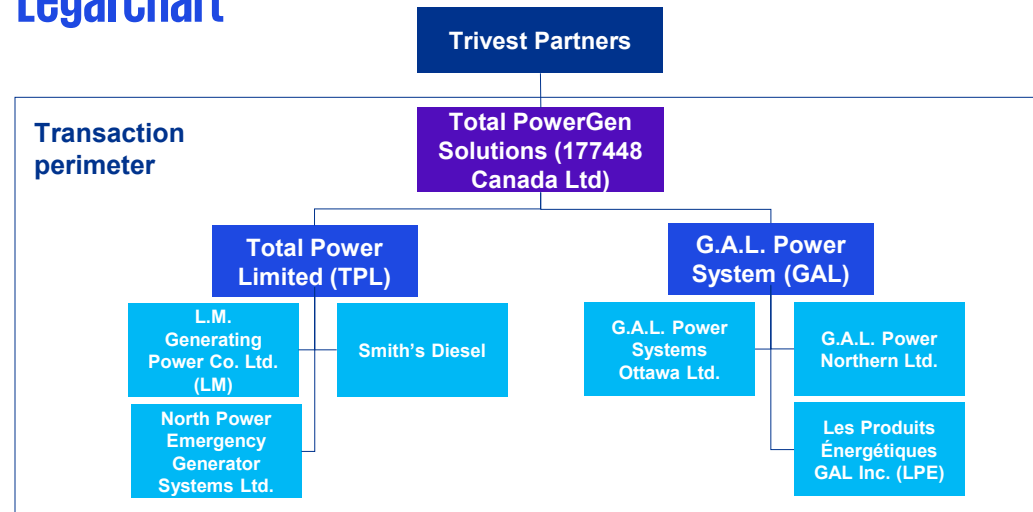
01

Executive summary

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Business Overview

Legal chart



Company overview

Total PowerGen Solutions (“TPGS” or the “Company”) provides integrated power solutions and prime power applications including power generators and associated services such as rental, maintenance and repairs, fuel, and parts. The Company serves customers in commercial and industrial sector through 17 facilities across Canada with headquarters in Mississauga, Ontario. The Company manages business based on business lines as opposed to by entity.

The Company was formed through the amalgamation of G.A.L. Power (acquired in 2018) and Total Power Limited (acquired in 2019). The Company has completed six acquisitions in the historical period, including Discovery Diesel (September 2020), GM Sat Consultants (June 2022), JK Electric (July 2022), Smith’s Diesel (July 2022), North Power (May 2023), and Air Cooled Engine Services (closed end of June 2023).

Geographical footprint

\$166.3m

TTM Mar-23
Revenue, pro forma
adjusted

\$33.3m

TTM Mar-23
EBITDA, pro forma
adjusted



17

Facilities across Ontario,
Quebec, Alberta, British
Columbia, New Brunswick,
Newfoundland and Nova
Scotia

419

Headcount in
March 2023

Source: Management provided information

Business Overview – Adjusted KPI's by Service Lines

The Company operates through four lines of business: equipment (including prime), service and parts, rental, and fuel via its nationwide network. As of FY22, fuel is monitored as a separate service line. For presentation purposes, the historical results of service, fuel and parts are presented together for comparability.

Service line	Description	Revenue	Gross profit	Gross profit %	Trends																								
Rental	- The Company rents generators, heating, cooling, and moisture control equipment to customers for periods ranging from one day to many months. - Includes intercompany sales made from LM to TPL for re-rent of LM generators to TPL customers. See 4.1 financial reporting environment for more detail.	<table><tr><th>Period</th><th>Revenue</th></tr><tr><td>FY21</td><td>43,479</td></tr><tr><td>FY22</td><td>56,800</td></tr><tr><td>TTM Mar-23</td><td>57,996</td></tr></table>	Period	Revenue	FY21	43,479	FY22	56,800	TTM Mar-23	57,996	<table><tr><th>Period</th><th>Gross Profit</th></tr><tr><td>FY21</td><td>24,725</td></tr><tr><td>FY22</td><td>32,067</td></tr><tr><td>TTM Mar-23</td><td>32,701</td></tr></table>	Period	Gross Profit	FY21	24,725	FY22	32,067	TTM Mar-23	32,701	<table><tr><th>Period</th><th>Gross Profit %</th></tr><tr><td>FY21</td><td>56.9%</td></tr><tr><td>FY22</td><td>56.5%</td></tr><tr><td>TTM Mar-23</td><td>56.4%</td></tr></table>	Period	Gross Profit %	FY21	56.9%	FY22	56.5%	TTM Mar-23	56.4%	- Revenue has increased since 2021 due to higher demand in the market and higher efficiency produced by the sharing of inventory across the sub-entities. - The increase in sales is partially driven by fuel services for rentals which has increased from \$7.9 million in 2021 to \$13.3 million in TTM Mar-23.
Period	Revenue																												
FY21	43,479																												
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Service, Fuel and Parts	- Includes preventive maintenance of Standby Power Systems, load testing, repairs, upgrades and fuel related services such as fuel system installations, design upgrades and fuel polishing. - Also includes sale of parts and repair and maintenance.	<table><tr><th>Period</th><th>Revenue</th></tr><tr><td>FY21</td><td>47,119</td></tr><tr><td>FY22</td><td>51,940</td></tr><tr><td>TTM Mar-23</td><td>55,775</td></tr></table>	Period	Revenue	FY21	47,119	FY22	51,940	TTM Mar-23	55,775	<table><tr><th>Period</th><th>Gross Profit</th></tr><tr><td>FY21</td><td>19,152</td></tr><tr><td>FY22</td><td>21,179</td></tr><tr><td>TTM Mar-23</td><td>23,077</td></tr></table>	Period	Gross Profit	FY21	19,152	FY22	21,179	TTM Mar-23	23,077	<table><tr><th>Period</th><th>Gross Profit %</th></tr><tr><td>FY21</td><td>40.6%</td></tr><tr><td>FY22</td><td>40.8%</td></tr><tr><td>TTM Mar-23</td><td>41.4%</td></tr></table>	Period	Gross Profit %	FY21	40.6%	FY22	40.8%	TTM Mar-23	41.4%	- Revenue grew by 18.4% from 2021 to TTM Mar-23. This was driven by sales of parts increasing by 25.9% in 2022 and in TTM Mar-23, service sales increased by 4.7% and sales of fuel systems increased by 14.7%. - Acquisition of North Power in May 2023 and Smith's Diesel in July 2022 has also contributed growth.
Period	Revenue																												
FY21	47,119																												
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FY22	40.8%																												
TTM Mar-23	41.4%																												
Equipment Sales	- Relates to the sale of generators, combined heat and power (CHP), and transfer switches. - Also includes prime equipment sales which provides onsite power generation and mobile from 250kW to multiple megawatts. - Generator offerings include industrial, commercial, mobile, turnkey solutions and residential.	<table><tr><th>Period</th><th>Revenue</th></tr><tr><td>FY21</td><td>53,337</td></tr><tr><td>FY22</td><td>39,496</td></tr><tr><td>TTM Mar-23</td><td>44,967</td></tr></table>	Period	Revenue	FY21	53,337	FY22	39,496	TTM Mar-23	44,967	<table><tr><th>Period</th><th>Gross Profit</th></tr><tr><td>FY21</td><td>11,954</td></tr><tr><td>FY22</td><td>8,444</td></tr><tr><td>TTM Mar-23</td><td>8,667</td></tr></table>	Period	Gross Profit	FY21	11,954	FY22	8,444	TTM Mar-23	8,667	<table><tr><th>Period</th><th>Gross Profit %</th></tr><tr><td>FY21</td><td>22.4%</td></tr><tr><td>FY22</td><td>21.4%</td></tr><tr><td>TTM Mar-23</td><td>19.3%</td></tr></table>	Period	Gross Profit %	FY21	22.4%	FY22	21.4%	TTM Mar-23	19.3%	- The Company sources generators from Generac Power Systems Inc, Blue Star and other OEM's. - Change in mix of vendors, supply chain disruptions, foreign currency exchange impacts and completion of a customer project in 2022 resulted in a temporary reduction in sales and gross margin. In TTM Mar-23, revenue rebounded as supply chain issues start to get resolved.
Period	Revenue																												
FY21	53,337																												
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TTM Mar-23	19.3%																												

Summary financials (1/2)

Quality of earnings

[Read more](#)

Quality of earnings			
\$'000	FY21	FY22	TTM Mar-23
Revenue, reported	143,935	148,236	158,738
Net income, reported	7,288	8,144	9,624
EBITDA, reported	24,184	25,714	28,022
Adjustments	(761)	1,530	1,611
EBITDA, adjusted	23,422	27,244	29,633
EBITDA margin, adjusted	16.3%	18.4%	18.7%
Pro forma adjustments			3,620
EBITDA, pro forma adjusted			33,253
EBITDA margin, pro forma adjusted			20.0%
Other considerations			1,794
EBITDA, after other considerations			35,047

- Select TTM Mar-23 adjustments include:
 - Non-recurring professional fees (+\$0.9 million):** Historically, the Company incurred certain non-recurring expenses such as professional fees related to acquisitions completed, consulting expenses for digital transformation and severance payouts. These have been excluded from EBITDA as they are not expected to be incurred going forward.
 - Management fees (+\$0.7 million):** Compensation paid to the Trivest team has been added back to EBITDA as the cost will not be incurred post transaction.
 - Fuel inventory policy change (-\$0.3 million):** Historically, fuel was expensed as purchased at LM. In December 2022, an accounting policy was implemented to harmonize the accounting treatment with the Company's other legal entities and a true up to fuel inventory was recorded with a corresponding credit to cost of sales. Cost of rental fuel has been adjusted in December 2021 and December 2022 to reflect the policy implementation consistently since December 2021.
- Select TTM Mar-23 pro forma adjustments include:
 - Run rate impact of rental fleet expansion (+\$3.1 million):** In 2022 and YTD May-23, the Company expanded the rental fleet to cater to higher demand in the market. The adjustment adds the impact of the fleet additions on a pro forma basis to TTM Mar-23 revenue and EBITDA.
- Other considerations mainly relate to post ERP implementation and Project Treya savings.

Net working capital

[Read more](#)

Net working capital						
\$'000	As at			Average		TTM Mar-23
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	
Net working capital, reported	11,316	14,846	18,788	7,785	10,775	13,002
Definitional adjustments	12,488	12,240	11,186	13,691	12,557	12,291
Adjustments	(2,518)	(0)	177	(671)	17	644
Net working capital, adjusted	21,287	27,086	30,151	20,804	23,348	25,937
Adjusted WC, as a % of net sales	14.8%	18.3%	19.0%	14.5%	15.8%	16.3%

- The increase in net working capital is driven by higher levels of inventory stocked in order to overcome the supply chain issues in the market, which began in 2021. Elevated inventory balance is offset by increase in billings in excess of costs driven by customized generator sales and associated commissions.
- Select TTM Mar-23 adjustments include:
 - Accounts receivable impact of Generac rebate normalization (+\$0.4 million):** The Company receives a rebate from Generac Power Systems when purchasing targets are met in addition to 1.0% discount when payments are completed within 10 days. These targets are set by Generac quarterly and annually. As this rebate is received both quarterly and annually, this adjustment normalizes the impact on accounts receivable on a monthly basis.

Summary financials (2/2)

The Company reports the consolidated financial statements under ASPE, with a December 31 year end. The adjusted income statement presented reflects adjustments contemplated in the Quality of Earnings analysis prior to pro forma adjustments. The balance sheet has been presented on a reported basis based on the Company's trial balance.

Adjusted income statement			
\$'000	FY21	FY22	TTM Mar-23
Rental	43,479	56,800	57,996
Equipment	53,337	39,496	44,967
Service, Parts & Fuel	47,119	51,940	55,775
Sales	143,935	148,236	158,738
Rental	24,725	32,067	32,701
Equipment	11,954	8,444	8,667
Service, Parts & Fuel	19,152	21,179	23,077
Gross profit	55,831	61,690	64,445
Gross profit %	38.8%	41.6%	40.6%
Payroll	(24,333)	(24,875)	(25,052)
Rent and building	(2,869)	(2,896)	(2,964)
Vehicle expenses	(1,463)	(1,595)	(1,595)
Insurance	(860)	(1,347)	(1,369)
Property expenses	(601)	(561)	(617)
Food, entertainment, travel	(259)	(586)	(608)
Other Operating expenses	(2,927)	(2,800)	(2,804)
Operating expenses	(33,311)	(34,661)	(35,010)
Operating income	22,520	27,029	29,435
Non-operating expenses	(34)	(37)	(62)
Other income	797	317	316
Other expense	140	(66)	(57)
Other income and expenses	902	214	198
EBITDA	23,423	27,244	29,633
Pro forma adjustments			3,620
EBITDA, pro forma adjusted			33,253
Adjustments	761	(1,530)	(1,611)
Pro forma adjustments			(3,620)
EBITDA reported	24,184	25,714	28,022
Interest, net	(2,557)	(2,914)	(3,412)
Depreciation & amortization	(11,546)	(11,263)	(11,279)
Income taxes	(2,793)	(3,392)	(3,708)
Net Income	7,288	8,144	9,624
<i>Gross profit %, Rentals</i>	<i>56.9%</i>	<i>56.5%</i>	<i>56.4%</i>
<i>Gross profit %, Equipment</i>	<i>22.4%</i>	<i>21.4%</i>	<i>19.3%</i>
<i>Gross profit %, Service, Parts & Fuel</i>	<i>40.6%</i>	<i>40.8%</i>	<i>41.4%</i>
<i>EBITDA margin, adjusted</i>	<i>16.3%</i>	<i>18.4%</i>	<i>18.7%</i>
<i>EBITDA margin, pro forma adjusted</i>			<i>20.0%</i>

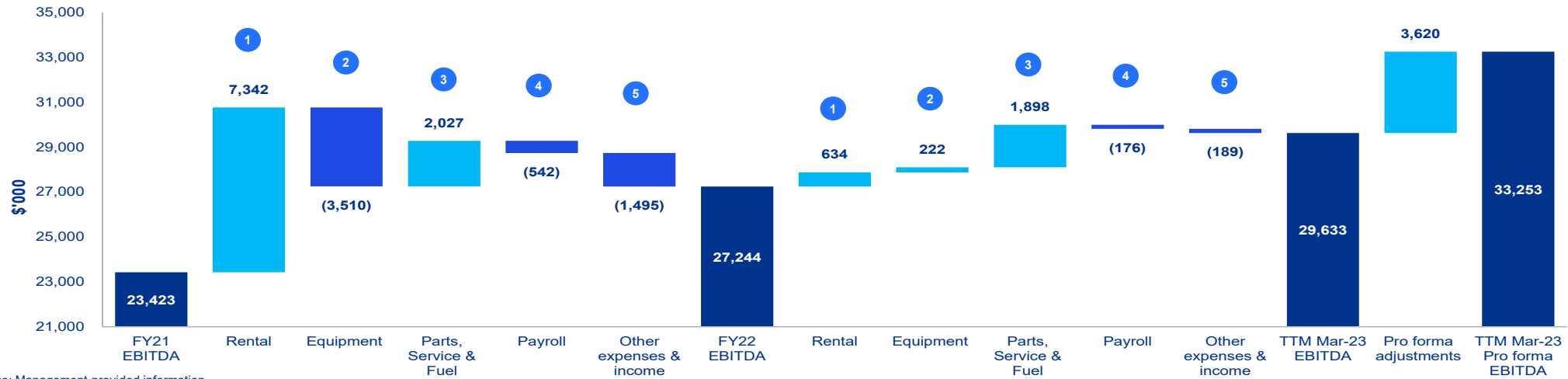
Source: Management provided information

Reported balance sheet			
\$'000	As at		
	31-Dec-21	31-Dec-22	31-Mar-23
Assets			
Cash	2,852	2,649	(840)
Accounts receivable	37,544	39,143	36,889
Deposits	274	2,122	947
Inventory	6,754	13,275	14,695
WIP	535	705	1,245
Payroll clearing	(10)	-	-
Prepaid expenses	1,768	2,549	2,049
Current assets	49,716	60,444	54,984
Property, plant and equipments	26,928	27,259	28,981
Intangible assets	115,352	112,503	111,535
Advances	496	244	244
Loan receivable	-	1,005	1,005
Non current assets	142,777	141,011	141,766
Assets	192,493	201,455	196,750
Shareholder's equity and liabilities			
Accounts payable	(9,732)	(13,039)	(9,946)
Accrued expenses	(5,623)	(5,576)	(4,399)
Payroll liabilities	(327)	(422)	(414)
Taxes payable	(13,286)	(13,097)	(12,282)
Deposits	(990)	(98)	(27)
Current portion of long term debt	-	(4,293)	(4,601)
Other current liabilities	(5,590)	(10,716)	(9,969)
Current liabilities	(35,549)	(47,242)	(41,637)
Non current liabilities	(61,531)	(48,890)	(49,386)
Equity	(95,414)	(105,322)	(105,726)
Shareholder's equity and liabilities	(192,493)	(201,455)	(196,750)

Source: Management provided information

Adjusted EBITDA bridge (before pro forma adjustments)

The increase in adjusted EBITDA from FY21 to TTM Mar-23 is primarily driven by higher utilization and deployment of rental assets, increasing revenue per rental unit, and growth in the customer base.



Source: Management provided information

1 Rental: The growth in the Company's combined rental fleet has been achieved partially through higher utilization (number of hours on rent versus total hours available). This improvement is due to sub-entities managing the fleet cohesively based on their independent demands from customers, resulting in higher revenue with the same rental fleet.

Additionally, the Company has been investing in additional units for further growth.

2 Equipment: The decrease in gross profit from \$12.0 million in 2021 to \$8.4 million in 2022 is due to increased lead times from 10-18 weeks to 40-50 weeks, driven by raw material shortage, competitive pricing and supply chain disruptions in the market causing backlog build up and slower revenue conversion.

As of TTM Mar-23, the average backlog stands at \$59.2 million and the Company estimates \$53.0 million of the backlog to be shipped in 2023.

3 Service, parts & fuel: The acquisition of large contracts and new customers such as CBRE Infrastructure Ontario and increases in sell through of parts and service to existing customers are the drivers of gross margin growth in FY22 and TTM Mar-23.

4 Payroll: The average headcount increase resulted in an increase in adjusted payroll expenses to \$25.0 million in TTM Mar-23 from \$24.3 million in 2021. The increase in headcount supports the Company's growth.

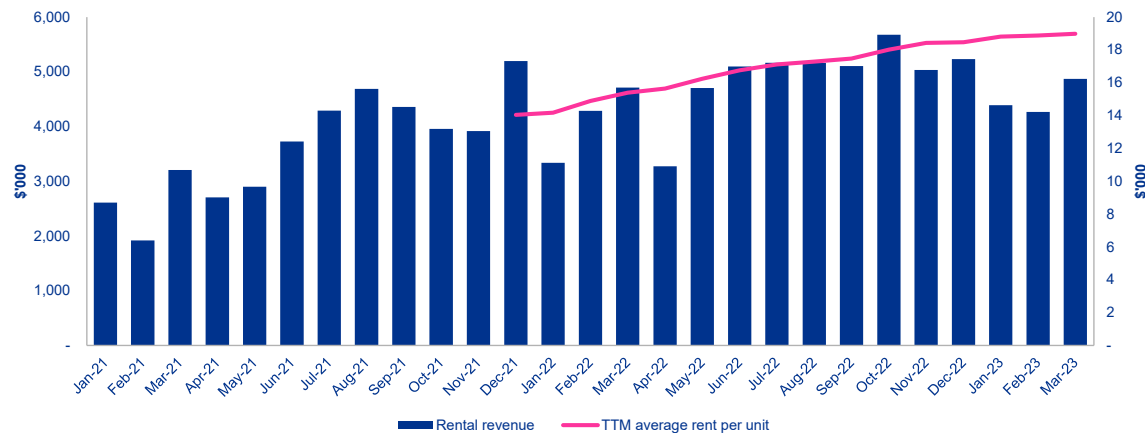
As part of the restructuring initiatives in 2021, the Company eliminated certain redundant positions. Please refer to Quality of earnings section for further details.

5 Other: Other expenses and income include rent, vehicle expenses, insurance, and other income and expenses such as foreign exchange.

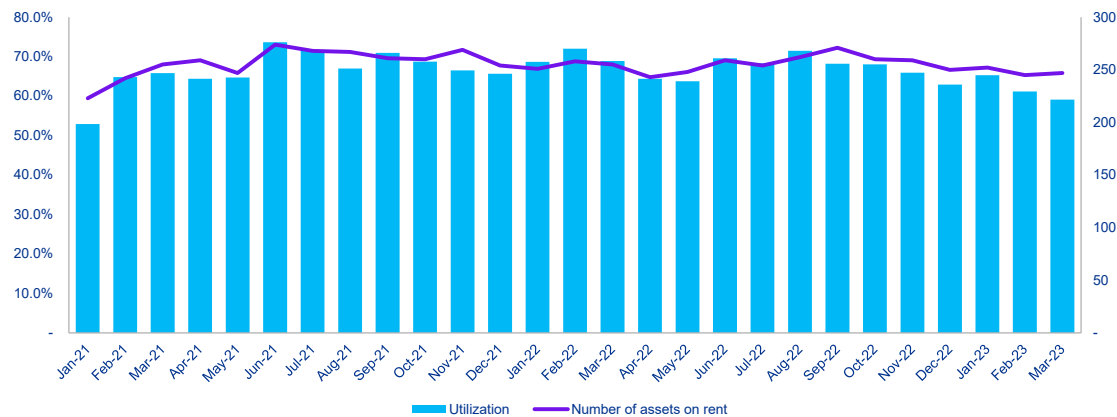
Revenue drivers – Rental

The Company invested \$4.6 million in 2022 and YTD Mar-23 to expand the rental fleet to meet the increasing demand. Rental revenue accounts for 36.5% of the total Company's TTM Mar-23 adjusted revenue. Approximately 51.6% of the rental revenue in TTM Mar-23 is generated by L.M. Generating Power located in Ontario.

Rental revenue and TTM average rent per unit



Number of assets on rent and utilization

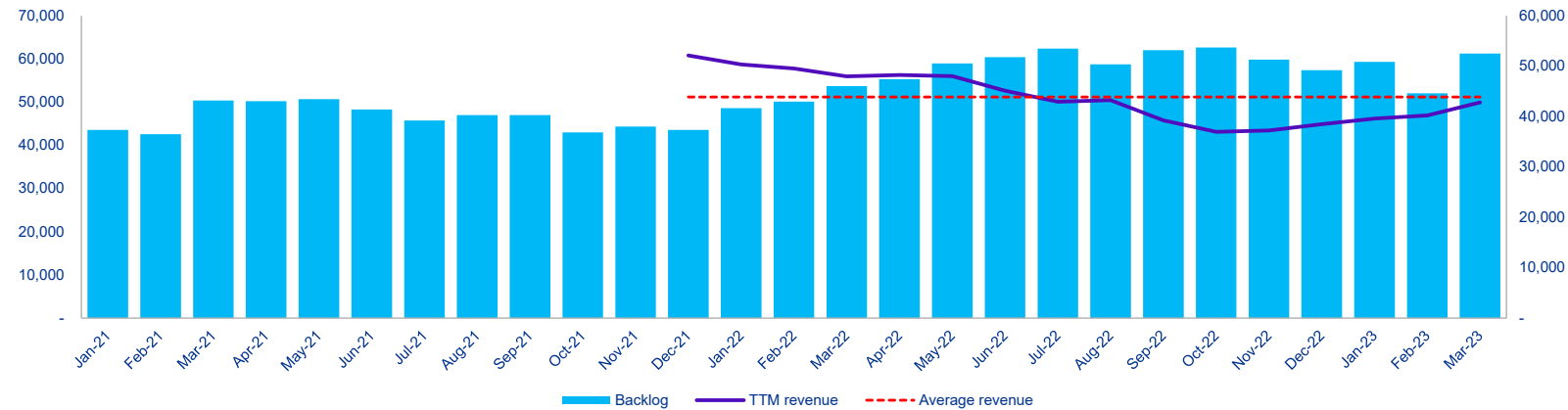


- During 2021, the Company experienced higher demand for rental equipment with the ease of COVID-19 restrictions. However, owing to supply chain disruptions, the Company couldn't procure the amount of inventory required to fulfil the demand.
- Rental assets due for replacement were also retained as there was a shortage in the market. This led to higher utilization of the existing fleet to 71.9% in April 2022 at L.M. Generating Power.
- The YOY increase of 33.4% in adjusted revenue and 32.3% in adjusted margin in TTM Mar-23 compared to 2021 is driven by the following:
 - Addition of 36 rental assets in the fleet and higher number of customers served.
 - Efficiencies from shared inventory and processes between the three entities i.e., TPL, GAL and LM Generating Power. This enabled the Company to meet customers' demand in case one of the entities is sold out, but the other entity has stock available.
 - Increase in average rent per hour from \$84.35 in 2022 to \$94.84 in 2023.
- According to Management, with the recent addition of new fleet, the Company aims to decrease the asset utilization to 65.0% which is considered ideal for longevity of assets. Utilization is calculated as the rented hours versus capacity hours in a year. As of Mar 31, 2023, amongst the 264 generators (FMV of \$20.3 million) in the fleet, 169 generators are utilized for less than 20,000 hours and only 3 generators utilized for more than 30,000 hours.

Revenue drivers - Equipment

Due to supply chain disruptions following Covid, lead-times to fulfil orders from equipment manufactures to end suppliers have increased throughout the industry due to shortages in the market leading to slower conversion of bookings to sales and higher backlog.

Total Power Limited and G.A.L. Power System



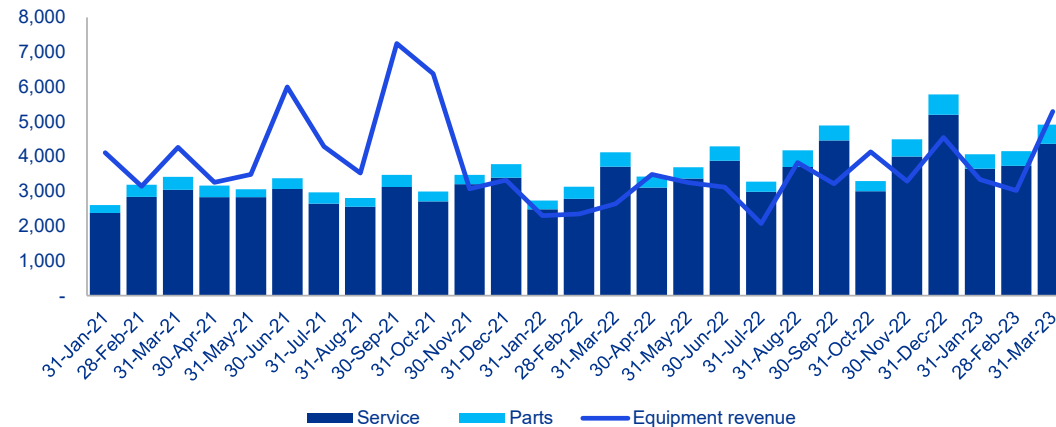
Source (all): Management provided information

- The Company sources equipment such as generators, transfer switches and switch gear from vendors and sells them at a margin to customers in industrial, commercial and residential sectors.
- Due to factory closures during the COVID-19 pandemic in FY20 and FY21, the manufacturing of equipment was limited and demand was comparatively lower. However, when restrictions were lifted throughout Canada during 2022, the Company experienced a return of its demand.
- Original equipment manufacturers (OEMs) were unable to fulfill the return of demand due to supply chain issues with raw materials. This led to delivery delays and higher backlog which increased to \$50.1 million in February 28, 2022 from \$42.6 million in February 28, 2021.
- In FY23, the Company expects approximately \$53.0 million of the \$57.4 million December 31, 2022 backlog to be shipped as the lead times are expected to decline from 40-50 weeks to 30-35 weeks by August 2023.
- The conversion of the equipment backlog is expected to result in improved service & parts revenue as typically 85.0% of equipment sales subsequently attract new service & parts contracts.

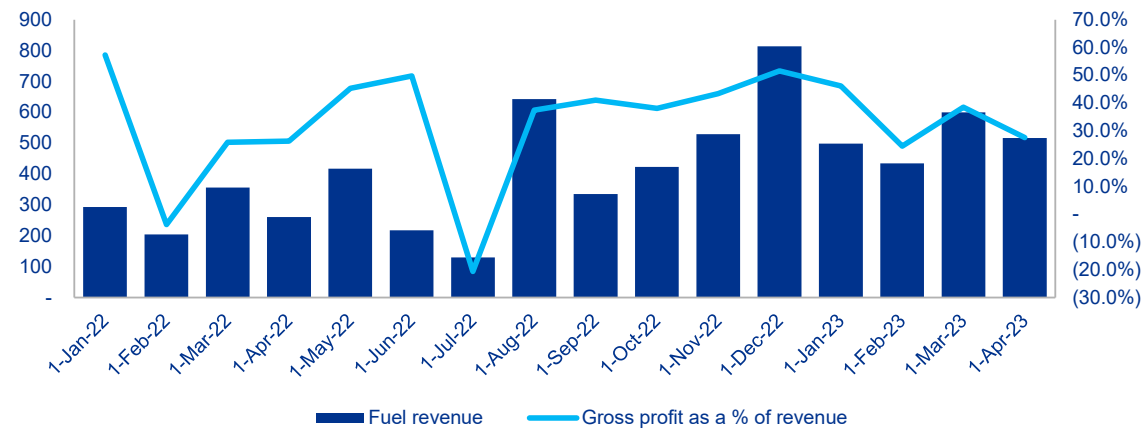
Revenue drivers – Service, Parts & Fuel

Increases in service and parts revenue from 2021 to TTM Mar-23 result from growing equipment sales over the same period.

Service & Parts



Fuel



- Growth in service sales from \$43.4 million in FY21 to \$45.4 million in TTM Mar-23 is driven by continuing renewals that average 83.1% for existing contracts, combined with growth of new contracts, which includes contracts from equipment sales as over 85.0% of equipment sales result in service & parts contracts.
- The Company's ability to service a greater number of new contracts results from the hiring of additional service technicians in 2022 and the Company's service vehicle fleet, which currently comprises of 234 vehicles.
- Equipment sales have led to service contracts with top customers allowing for reoccurring revenue across multiple years.
- Average monthly parts revenue increased to \$419,000 in TTM Mar-23, compared to \$388,000 in 2022 and \$308,000 in 2021. This increase is primarily driven by improved service sales and service contract retention; as the majority of parts revenue is derived from the existing service contracts base.
- Fuel sales primarily relate to fuel systems installations, fuel system upgrades, maintenance & repairs and fuel polishing.
 - During 2021 fuel revenues were included within service. For the purposes of this analysis, monthly fuel revenue for 2021 has been removed from service revenue.

02

Historical trading

2.1 Quality of earnings

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Quality of earnings (1/13) – Overview

Quality of earnings			
\$'000	FY21	FY22	TTM Mar-23
Revenue, reported	143,935	148,236	158,738
Pro forma adjustments			7,586
Revenue, pro forma adjusted			166,324
Net income, reported	7,288	8,144	9,624
Add/(deduct)			
Interest, net	2,557	2,914	3,412
Depreciation & amortization	11,546	11,263	11,279
Income taxes	2,793	3,392	3,708
EBITDA, reported	24,184	25,714	28,022
Adjustments	(761)	1,530	1,611
EBITDA, adjusted	23,422	27,244	29,633
EBITDA margin, adjusted	16.3%	18.4%	18.7%
Pro forma adjustments			3,620
EBITDA, pro forma adjusted			33,253
EBITDA margin, pro forma adjusted			20.0%

Source: Management provided information

The Quality of Earnings ("QofE") analysis has been prepared based on the Company's monthly internal financials (including trial balances) and discussions held with Management.

The suitability of EBITDA adjustments as it pertains to the proposed transaction and other factors for consideration may require further investigation to understand the potential impact on your business model. The potential adjustments identified are not deemed to be all-inclusive and further diligence may uncover additional or modified adjustments.

Overview

Analysis buildup and reconciliation to audit

The Company's trial balances were utilized to build the financial statements and quality of earnings analyses. See Appendix 5.1 for reconciliation of the financial statements to the audited financial statements. Note the latest available audited financial statements is for the fiscal year 2022.

EBITDA

The nature of the adjustments included in the analysis to derive EBITDA from net income are as follows:

- **EBITDA, reported:** Represents earnings before interest expense (net), income taxes, depreciation, and amortization expense derived from the Company's trial balances. Depreciation and amortization added back includes the fair market value revaluation adjustments associated with past acquisitions.
- **Adjustments:** Adjustments primarily relate to non-recurring or other unusual matters that impact the underlying earnings.
- **Pro forma adjustments:** Adjustments for changes in the business operations that may impact historical earnings.
- **Other considerations:** Items are not included as adjustments are highlighted in the 'Other considerations' section. These items should be considered as part of the earnings analysis for sensitivity purposes.

Quality of earnings (2/13) – Adjustments

Quality of Earnings				
\$'000	Ref	FY21	FY22	TTM Mar-23
Revenue, reported		143,935	148,236	158,738
Adjustments		-	-	-
Pro forma adjustments				7,586
Revenue, pro forma adjusted				166,324
EBITDA, reported		24,184	25,714	28,022
Adjustments				
Transaction and amalgamation related costs	1a	30	266	329
Other non recurring professional fees	1b	323	482	571
Non recurring professional fees	1	353	747	901
Management fees expense - Trivest	2	630	662	670
Fuel inventory policy change	3	343	(343)	(343)
Reduction in GTA facilities	4	-	275	184
Restructuring costs	5	1,037	73	68
Generac annual rebate normalization	6	-	(0)	(32)
CEWS subsidy	7	(2,861)	-	-
Other adjustments	8	(264)	116	163
Adjustments		(761)	1,530	1,611
EBITDA, adjusted		23,422	27,244	29,633
EBITDA margin, adjusted		16.3%	18.4%	18.7%
Pro forma adjustments				3,620
EBITDA, pro forma adjusted				33,253
EBITDA margin, pro forma adjusted				20.0%

Source: Management provided information

Adjustments

1. Non-recurring professional fees: The Company incurred professional fees related to non-recurring events such as acquisitions, amalgamations and cost saving initiatives. These expenses have been added back to EBITDA as they are non-recurring in nature.

a. Transaction and amalgamation related costs: Consist of the non-recurring expenses incurred to complete the historical acquisitions and amalgamations of the Company's legal structure. These costs include a one-time acquisition related finder fee paid to Confederation M&A, legal fees paid to McCarter Grespan for the Smith's Diesel acquisition, fees related to the amalgamation of GAL and TPL paid to Davies Ward Phillips & Vineberg, KPMG, and CIBC's legal counsel Stikeman Elliot, and associated travel and disbursements costs to Trivest. Other costs reflect the use of an employment lawyer to assist with transaction related termination matters and Western Canada legal counsel for the acquisition of North Power.

Transaction and amalgamation related costs			
\$'000	FY21	FY22	TTM Mar-23
Finder Fees - Smith's Diesel Acquisition	-	90	90
McCarter Grespan Beynon Weir LLP	3	62	69
Davies Ward Phillips & Vineberg	3	5	54
Stikeman Elliott	5	31	38
Trivest	4	20	21
KPMG	-	8	-
Other	16	49	58
Transaction and amalgamation related costs	30	266	329

Source: Management provided information

Quality of earnings (3/13) – Adjustments

Quality of Earnings				
\$'000	Ref	FY21	FY22	TTM Mar-23
Revenue, reported		143,935	148,236	158,738
Adjustments		-	-	-
Pro forma adjustments				7,586
Revenue, pro forma adjusted				166,324
EBITDA, reported		24,184	25,714	28,022
Adjustments				
Transaction and amalgamation related costs	1a	30	266	329
Other non recurring professional fees	1b	323	482	571
Non recurring professional fees	1	353	747	901
Management fees expense - Trivest	2	630	662	670
Fuel inventory policy change	3	343	(343)	(343)
Reduction in GTA facilities	4	-	275	184
Restructuring costs	5	1,037	73	68
Generac annual rebate normalization	6	-	(0)	(32)
CEWS subsidy	7	(2,861)	-	-
Other adjustments	8	(264)	116	163
Adjustments		(761)	1,530	1,611
EBITDA, adjusted		23,422	27,244	29,633
EBITDA margin, adjusted		16.3%	18.4%	18.7%
Pro forma adjustments				3,620
EBITDA, pro forma adjusted				33,253
EBITDA margin, pro forma adjusted				20.0%

Source: Management provided information

Adjustments (Continued)

1. Non-recurring professional fees (continued):

b. Other non-recurring professional fees: Other than transaction and amalgamation related professional fees, the Company also incurred the following expenses which are non-recurring in nature:

Other non recurring professional fees			
\$'000	FY21	FY22	TTM Mar-23
Project Treya	-	145	246
Davies Ward Phillips& Vineberg	94	145	152
US Tax	81	108	106
Digital transformation - Pemeco - IT Consultants	148	83	67
Other non recurring professional fees	323	482	571

Source: Management provided information

- i. Project Treya:* The Company engaged Treya Partners to identify potential cost savings in cost of sales, fuel, equipment rental, and other costs by reviewing the existing vendor agreements and recommending changes. The adjustment removes the consulting costs associated with the project.
- ii. Davies Ward Phillips & Vineberg:* Costs associated with the introduction of the employee stock purchase program have been added back to EBITDA as the associated fee paid to Davies Ward Phillips & Vineberg are deemed to be non-recurring in nature.
- iii. US Tax:* In 2022 and 2023, the Company incurred professional fees associated with tax matters relating to its holding company. Since the costs (KPMG invoices of \$64,000 in April 2022 and \$31,000 in February 2023) and associated accruals from January 2022 to April 2022 (\$44,000) are not operational in nature, they were added back to EBITDA. Fees in 2021 related to tax filings for entities of the private equity sponsor.
- iv. Digital transformation:* Fees paid to Pemeco Consulting Inc. associated with the new enterprise resource planning (ERP) system in 2021 to centralize operations, which is expected to begin roll out in November 2023 and completed by June 2024. Post implementation, the go forward costs for ERP are estimated to be approximately \$450,000 annually. Refer to pro forma and other consideration for further details

Quality of earnings (4/13) – Adjustments

Quality of Earnings				
\$'000	Ref	FY21	FY22	TTM Mar-23
Revenue, reported		143,935	148,236	158,738
Adjustments		-	-	-
Pro forma adjustments				7,586
Revenue, pro forma adjusted				166,324
EBITDA, reported		24,184	25,714	28,022
Adjustments				
Transaction and amalgamation related costs	1a	30	266	329
Other non recurring professional fees	1b	323	482	571
Non recurring professional fees	1	353	747	901
Management fees expense - Trivest	2	630	662	670
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Generac annual rebate normalization	6	-	(0)	(32)
CEWS subsidy	7	(2,861)	-	-
Other adjustments	8	(264)	116	163
Adjustments		(761)	1,530	1,611
EBITDA, adjusted		23,422	27,244	29,633
EBITDA margin, adjusted		16.3%	18.4%	18.7%
Pro forma adjustments				3,620
EBITDA, pro forma adjusted				33,253
EBITDA margin, pro forma adjusted				20.0%

Source: Management provided information

Adjustments (Continued)

- Management fees - Trivest:** Management fees paid to the Company's private equity owners are considered non-recurring and added back to EBITDA. No replacement services/costs are required post-closing. The management fees are recorded in a discrete general ledger account (GL# 52010).
- Fuel inventory policy change:** Prior to December 2022, fuel was expensed as purchased at LM. In December 2022 the Company elected to record unused fuel in gas tanks as part of fuel inventory to harmonize the accounting policy at all entities. The proposed adjustment reflects the LM fuel purchases as part of inventory as if the accounting policy was in place since December 2021.

Fuel inventory policy change			
\$'000	FY21	FY22	TTM Mar-23
Balance Sheet, adjusted	343	575	682
NWC adjustment	343	-	-
Reported P&L Impact	-	575	682
Adjusted P&L Impact	343	232	339
EBITDA adjustment	343	(343)	(343)

Source: Management provided information

- Reduction in GTA facilities:** In October 2022, the Company elected to discontinue the Statesman location lease in Greater Toronto Area (GTA) to streamline operations from three facilities in the area to two. The adjustment adds back rent, business and property taxes, maintenance and other costs to reflect the go-forward rent expense.

Reduction in GTA facilities			
\$'000	FY21	FY22	TTM Mar-23
Rent	-	162	111
Business & property taxes	-	50	35
Property maintenance	-	41	27
Utilities	-	18	8
Internet expense	-	4	3
Reduction in GTA facilities	-	275	184

Source: Management provided information

Quality of earnings (5/13) – Adjustments

Quality of Earnings				
\$'000	Ref	FY21	FY22	TTM Mar-23
Revenue, reported		143,935	148,236	158,738
Adjustments		-	-	-
Pro forma adjustments				7,586
Revenue, pro forma adjusted				166,324
EBITDA, reported		24,184	25,714	28,022
Adjustments				
Transaction and amalgamation related costs	1a	30	266	329
Other non recurring professional fees	1b	323	482	571
Non recurring professional fees	1	353	747	901
Management fees expense - Trivest	2	630	662	670
Fuel inventory policy change	3	343	(343)	(343)
Reduction in GTA facilities	4	-	275	184
Restructuring costs	5	1,037	73	68
Generac annual rebate normalization	6	-	(0)	(32)
CEWS subsidy	7	(2,861)	-	-
Other adjustments	8	(264)	116	163
Adjustments		(761)	1,530	1,611
EBITDA, adjusted		23,422	27,244	29,633
EBITDA margin, adjusted		16.3%	18.4%	18.7%
Pro forma adjustments				3,620
EBITDA, pro forma adjusted				33,253
EBITDA margin, pro forma adjusted				20.0%

Source: Management provided information

Adjustments (Continued)

- 5. Restructuring expenses:** As part of cost saving initiatives, the Company eliminated certain redundant positions in 2021. The adjustment adds back the related severance paid to the terminated employees, legal fees paid associated with the restructuring, and director fees paid to the former owner of GAL which discontinued as of June 2022.

Restructuring adjustment			
\$'000	FY21	FY22	TTM Mar-23
Severance	949	53	81
Professional services - Davies Ward Phillips & Vineberg	-	13	13
Director fees	50	23	11
Legal Fees - Employment Matters	38	-	-
Restructuring	1,037	89	104
Normal severance	-	(16)	(37)
Adjustment	1,037	73	68

Source: Management provided information

- 6. Generac annual rebate normalization:** The Company has an agreement with its largest vendor, Generac Power Systems Inc., to receive a rebate when certain purchasing targets are met in addition to a kicker of up to \$300,000 for when annual purchases exceed the set annual target. The rebate is recorded quarterly (1.5%) and annually (2.0%) based on the purchases. As such the adjustment allocates the quarterly and annual rebates to respective months on a straight-line basis.

Generac rebate normalization			
\$'000	FY21	FY22	TTM Mar-23
Normalized quarterly rebates	391	538	522
Normalized annual rebates	932	811	785
Adjusted Generac rebates	1,323	1,349	1,307
Rebate as per general ledger	1,323	1,349	1,339
Generac annual rebate adjustment	-	(0)	(32)
Generac rebate normalization	-	(0)	(32)

Source: Management provided information

Quality of earnings (6/13) – Adjustments

Quality of Earnings				
\$'000	Ref	FY21	FY22	TTM Mar-23
Revenue, reported		143,935	148,236	158,738
Adjustments		-	-	-
Pro forma adjustments				7,586
Revenue, pro forma adjusted				166,324
EBITDA, reported		24,184	25,714	28,022
Adjustments				
Transaction and amalgamation related costs	1a	30	266	329
Other non recurring professional fees	1b	323	482	571
Non recurring professional fees	1	353	747	901
Management fees expense - Trivest	2	630	662	670
Fuel inventory policy change	3	343	(343)	(343)
Reduction in GTA facilities	4	-	275	184
Restructuring costs	5	1,037	73	68
Generac annual rebate normalization	6	-	(0)	(32)
CEWS subsidy	7	(2,861)	-	-
Other adjustments	8	(264)	116	163
Adjustments		(761)	1,530	1,611
EBITDA, adjusted		23,422	27,244	29,633
EBITDA margin, adjusted		16.3%	18.4%	18.7%
Pro forma adjustments				3,620
EBITDA, pro forma adjusted				33,253
EBITDA margin, pro forma adjusted				20.0%

Source: Management provided information

Adjustments (Continued)

7. **CEWS subsidy:** In 2021, the Company received COVID-19 pandemic related Canada Emergency Wage Subsidy (CEWS). Given the non recurring nature of the income, it has been excluded from EBITDA. The Company did not receive the Canada Emergency Rent Subsidy (CERS).

CEWS subsidy			
\$'000	FY21	FY22	TTM Mar-23
Government subsidy	(2,861)	-	-
CEWS subsidy	(2,861)	-	-

Source: Management provided information

In 2021, owing to the CEWS income, the Company retained employees despite an increase in wage rates who otherwise would have been terminated. Management also represents the impact of lost sales and EBITDA in 2021 associated with rental related events do not comprise of a significant portion of the business and has not been quantified.

8. **Other adjustments:** Other adjustments include the following:

Other adjustments			
\$'000	FY21	FY22	TTM Mar-23
(Gain)/loss on disposition of assets	(269)	58	52
Transcanada Pipelines Fraud	-	51	51
Unrealized foreign exchange	22	(12)	41
Interest expense, net	(17)	18	19
Other adjustments	(264)	116	163

Source: Management provided information

- a. **Gain or loss on disposition of assets:** Gains or losses on disposition of assets have been removed from EBITDA for normalization purposes as it is not considered a core operational item and may be non-cash in nature. (Gains or losses on disposition of assets are recorded in a discrete GL account # 59998).

Quality of earnings (7/13) – Adjustments

Quality of Earnings				
\$'000	Ref	FY21	FY22	TTM Mar-23
Revenue, reported		143,935	148,236	158,738
Adjustments		-	-	-
Pro forma adjustments				7,586
Revenue, pro forma adjusted				166,324
EBITDA, reported		24,184	25,714	28,022
Adjustments				
Transaction and amalgamation related costs	1a	30	266	329
Other non recurring professional fees	1b	323	482	571
Non recurring professional fees	1	353	747	901
Management fees expense - Trivest	2	630	662	670
Fuel inventory policy change	3	343	(343)	(343)
Reduction in GTA facilities	4	-	275	184
Restructuring costs	5	1,037	73	68
Generac annual rebate normalization	6	-	(0)	(32)
CEWS subsidy	7	(2,861)	-	-
Other adjustments	8	(264)	116	163
Adjustments		(761)	1,530	1,611
EBITDA, adjusted		23,422	27,244	29,633
EBITDA margin, adjusted		16.3%	18.4%	18.7%
Pro forma adjustments				3,620
EBITDA, pro forma adjusted				33,253
EBITDA margin, pro forma adjusted				20.0%

Source: Management provided information

Adjustments (Continued)

8. Other adjustments (continued):

- b. TransCanada Pipelines Fraud:* In September 2022, the Company unknowingly fulfilled a fraudulent order wherein the order was picked up directly from the factory. The associated cost of \$51,000 for the order has been added back to EBITDA as it is one time in nature. Thereon, all direct factory pickups are required to be approved by the vice president to avoid any such incidents.
- c. Unrealized foreign exchange:* The Company records realized and unrealized foreign exchange gains and losses in discrete general ledger accounts. The unrealized portion of the foreign exchange gains and losses have been adjusted out of EBITDA while realized gains and losses remain within the EBITDA calculation.
- d. Interest expense, net:* Incremental interest expenses and other income amounts identified have been added back to EBITDA by definition.

Quality of earnings (8/13)– Pro forma adjustments

Quality of Earnings				
\$'000	Ref	FY21	FY22	TTM Mar-23
Revenue, reported		143,935	148,236	158,738
Adjustments		-	-	-
Revenue, adjusted		143,935	148,236	158,738
Pro forma adjustments				
Run rate impact of rental fleet expansion	9			4,575
Smith's Diesel acquisition	11			1,548
North Power acquisition	12			808
Air Cooled Engine Services acquisition	13			655
Pro forma adjustments				7,586
Revenue, pro forma adjusted				166,324
EBITDA, reported		24,184	25,714	28,022
Adjustments		(761)	1,530	1,611
EBITDA, adjusted		23,422	27,244	29,633
<i>EBITDA margin, adjusted</i>		16.3%	18.4%	18.7%
Pro forma adjustments				
Run rate impact of rental fleet expansion	9			3,116
Payroll savings - ERP implementation	10			190
Smith's Diesel acquisition	11			164
North Power acquisition	12			111
Air Cooled Engine Services acquisition	13			38
Pro forma adjustments				3,620
EBITDA, pro forma adjusted				33,253
<i>EBITDA margin, pro forma adjusted</i>				20.0%

Source: Management provided information

Pro forma adjustments

9. **Run rate impact of rental fleet expansion:** In FY22 and YTD May-23, the Company purchased 36 additional rental units to meet increasing demand. For pro forma purposes, the expected impact of the incremental fleet was calculated using monthly utilization based on the TTM Mar-23 average utilization of 62.9%. Revenue and costs for other rental and fuel were allocated based on proportion to reported rental revenue and costs.

Run rate impact of rental fleet expansion	
\$'000	TTM Mar-23
Base Rental Revenue (excl. sublet / other)	2,821
Other Rental Revenue (freight, etc.)	729
Rental Fuel Sales	1,025
Revenue adjustment	4,575
Rentals COGS (excludes depreciation, fuel)	(768)
Rentals Fuel COGS	(690)
Cost of sales impact	(1,458)
EBITDA impact	3,116

Source: Management provided information

Quality of earnings (9/13)– Pro forma adjustments

Quality of Earnings				
\$'000	Ref	FY21	FY22	TTM Mar-23
Revenue, reported		143,935	148,236	158,738
Adjustments		-	-	-
Revenue, adjusted		143,935	148,236	158,738
Pro forma adjustments				
Run rate impact of rental fleet expansion	9			4,575
Smith's Diesel acquisition	11			1,548
North Power acquisition	12			808
Air Cooled Engine Services acquisition	13			655
Pro forma adjustments				7,586
Revenue, pro forma adjusted				166,324
EBITDA, reported		24,184	25,714	28,022
Adjustments		(761)	1,530	1,611
EBITDA, adjusted		23,422	27,244	29,633
EBITDA margin, adjusted		16.3%	18.4%	18.7%
Pro forma adjustments				
Run rate impact of rental fleet expansion	9			3,116
Payroll savings - ERP implementation	10			190
Smith's Diesel acquisition	11			164
North Power acquisition	12			111
Air Cooled Engine Services acquisition	13			38
Pro forma adjustments				3,620
EBITDA, pro forma adjusted				33,253
EBITDA margin, pro forma adjusted				20.0%

Source: Management provided information

Pro forma adjustments (Continued)

10. Payroll savings – ERP implementation: Currently, the Company's subsidiaries are utilizing different system platforms and are in process of consolidating to a common enterprise resource planning (ERP) platform. The process began in 2021 and is expected to begin a phased roll out in November 2023 and completed by June 2024. As of March 2023, there are 16 FTE's involved in the project, and two of the team members are fully dedicated to the ERP implementation while the remaining 14 project members will return to the core operations of the business and result in the elimination of other roles and personnel backfilled. Post implementation, the two dedicated team members will become redundant and will be eliminated. Therefore, the annual compensation and bonus associated with the roles have been added back to EBITDA on pro forma basis. Refer to other consideration section for further details.

Payroll savings - ERP implementation	
\$'000	TTM Mar-23
Base salary	95
Bonus	10
ERP Project Manager	105
Software Developer ERP	85
Payroll savings - ERP implementation	190

Source: Management provided information

11. Smith's Diesel acquisition: In July 2022, the Company completed the acquisition of Smith's Diesel and Power Generation. To present the TTM Mar-23 revenue and EBITDA on a pro forma basis, Smith's Diesel's reported revenue and EBITDA from April 2022 to July 2022 have been added to the Company's financials in the respective months.

Smith's Diesel and power-generation - TTM Mar-23			
\$'000	Proforma Adjusted	Reported	Adjustment
Sales	5,647	4,100	1,548
Cost of sales	(4,192)	(3,057)	(1,135)
Gross profit	1,455	1,042	413
Operating expenses	(1,204)	(835)	(369)
Operating income	251	208	44
Other income and expenses	239	119	120
EBITDA	490	326	164

Source: Management provided information

Quality of earnings (10/13)– Pro forma adjustments

Quality of Earnings				
\$'000	Ref	FY21	FY22	TTM Mar-23
Revenue, reported		143,935	148,236	158,738
Adjustments		-	-	-
Revenue, adjusted		143,935	148,236	158,738
Pro forma adjustments				
Run rate impact of rental fleet expansion	9			4,575
Smith's Diesel acquisition	11			1,548
North Power acquisition	12			808
Air Cooled Engine Services acquisition	13			655
Pro forma adjustments				7,586
Revenue, pro forma adjusted				166,324
EBITDA, reported		24,184	25,714	28,022
Adjustments		(761)	1,530	1,611
EBITDA, adjusted		23,422	27,244	29,633
<i>EBITDA margin, adjusted</i>		16.3%	18.4%	18.7%
Pro forma adjustments				
Run rate impact of rental fleet expansion	9			3,116
Payroll savings - ERP implementation	10			190
Smith's Diesel acquisition	11			164
North Power acquisition	12			111
Air Cooled Engine Services acquisition	13			38
Pro forma adjustments				3,620
EBITDA, pro forma adjusted				33,253
<i>EBITDA margin, pro forma adjusted</i>				20.0%

Source: Management provided information

Pro forma adjustments (Continued)

- 12. North Power acquisition:** On May 1, 2023 the Company completed the acquisition of British Columbia based North Power Emergency Generator Systems Limited which specializes in generator installation, maintenance and service. Synergies between the Company and North Power have been added on a pro forma basis to reflect go-forward EBITDA and revenue.

Income statement - North Power	
\$'000	TTM Mar-23
Sales	808
Cost of sales	(224)
Gross profit	584
Operating expenses	(473)
Operating income	111
Other income and expenses	-
EBITDA, reported	111

Source: Management provided information

As part of the transaction, the Company will be paying the first earnout of \$150,000 on April 30, 2024 if 85.0% of the existing customers are transitioned to the Company. Second conditional earnout of \$150,000, will be paid out if service and parts revenue at the Maple Ridge branch increases by \$4.0 million compared to 2022 by April 30, 2025. The earnouts are conditioned on the former owner to be employed at the time of the earnouts.

- 13. Air Cooled Engine Services Ltd. (Custom Generators):** The Company completed the acquisition of Air Cooled Engine Services Limited in June 2023. Based on historical data from Jul-22 to Feb-23 the annualized revenue and EBITDA is estimated to be \$643,000 and \$38,000 respectively. Expected synergies from the transaction have not been quantified as of the date of the report. The related escrow of \$158,250 for the transaction will be released after twelve months.

Income statement - Air Cooled Engine Services	
\$'000	TTM Mar-23
General Revenue	655
Interest & income	(12)
Revenue	643
Expense	(617)
Net Income	26
Interest income	12
EBITDA	38

Source: Management provided information

Quality of earnings (11/13)– Other considerations

Other considerations

- The following includes potential quality of earnings considerations identified during due diligence. These items relate to other matters that may be considered in the overall evaluation of the Company. Given the subjective nature of these assumptions, they have not been included in the Quality of Earnings schedule.

Other considerations		
\$'000		TTM Mar-23
Reduction in headcount post ERP implementation	A	940
Project Treya	B	635
Extraordinary repair and maintenance - Fleet	C	127
Payroll related considerations	D	(5)
Custom Power	E	n.a.
Passed audit adjustments	F	n.a.
Intercompany eliminations	G	n.a.
Total		1,698

Source: Management provided information

- A. Reduction in headcount post ERP implementation:** Further to pro forma adjustment #10, management represents that in addition to the project manager and software developer hired for ERP implementation, other employees working on implementation may replace certain employees / roles in other functions post implementation as they return to regular workloads. The specific roles and individuals are not yet identified and as a result the potential savings have not been adjusted in EBITDA.

There are 12 positions that may be eliminated post implementation which will result in anticipated annualized savings of \$0.9 million which are presented in the table below.

Reduction in headcount post ERP implementation		
\$'000	#	TTM Mar-23
National Parts inventory manager	1	125
Project Co-ordinator	2	120
Rental Invoicer	2	110
Accountant	1	100
Service Invoicer	2	100
IT	1	70
Service Contract Admin	1	60
Accounts Payable	1	55
AR Credit & Collections Contract	1	50
Wage savings	12	790
Bonus		17
Car allowance		10
Employer Costs (15.0%)		123
Total savings		940

Source: Management provided information

Quality of earnings (12/13)– Other considerations

Other considerations (continued)

- B. Project Treya:** The Company engaged Treya partners to identify cost of goods sold saving opportunities by renegotiating terms of purchase with the vendors. As per the new contracts, savings of \$731,000 have been estimated to be achieved going forward.

Project Treya savings	
\$'000	Amount
Transfer Switches	244
Fuel & Lubricants - Delivered Diesel	136
Fuel & Lubricants - Lubricants	116
Small Parcel	78
Electrical Supplies	22
Telecom - Data & Voice	20
Custom Enclosures	19
Project Treya savings	635

Source: Management provided information

- C. Extraordinary repairs and maintenance- Fleet:** In 2021 and 2022 supply chain issues made it difficult for the Company to source new vehicles for its fleet. As the Company was not able to replace aging trucks at a normal rate, the repairs and maintenance expense related to maintaining the fleet increased in 2022 and TTM Mar-23. On a go forward basis, the Company anticipates spending approximately \$2,500 per vehicle compared to the current 2022 and annualized 2023 spend of \$2,736 and \$3,153, respectively.

D. Payroll related considerations:

- **HR director compensation:** The former human resources director left the organization in February 2023 and the replacement joined the Company in April 2023 with \$23,000 higher annual compensation. Given the new director has more experience than the prior director, the incremental payroll expense has not been added to EBITDA.
- **Controller:** The Company replaced the former senior controller who resigned in January 2023 with an assistant controller hired in February 2023 with \$35,000 lesser compensation. The consideration reflects the net impact of the lower compensation for ten months in TTM Mar-23.

Payroll related considerations	
\$'000	TTM Mar-23
Incremental salary - HR director	(34)
Savings - Controller position	29
Payroll related considerations	(5)

Source: Management provided information

- E. Custom Power:** The Company signed a Definitive Agreement for the acquisition of Custom Power Generation in June 2023. The deal is expected to close in July 2023. As of the signing date, Custom Power was generating roughly \$15.0 million in revenue.

Quality of earnings (13/13)– Other considerations

Other considerations (continued)

- F. Passed audit adjustments:** The following are adjustments identified by the Company's auditors and reviewed by Management which were determined to be immaterial for the purpose of the audit and do not impact FY22 revenue and EBITDA.

Uncorrected audit misstatements		
\$'000	FY21	FY22
To adjust goodwill to actual (Non EBITDA)	-	(293)
To adjust accrued revenue to actual (out of period relating to FY20)	333	-
To accrue revenue related to insurance claim (relating to FY20)	90	-
To adjust entry related to reserve for Brantford job (relating to FY20)	-	-
To adjust revenue for project 23907, not completed at year end (relating to FY20)	(52)	-
To bump up CEWS accrual to account for periods 10-11 (Non EBITDA)	155	-

Source: Management provided information

- G. Intercompany eliminations:** The sub-entities i.e. TPL, GAL and LM utilize each other's rental fleet when there is higher customer demand and these intercompany transactions of rental fleet borrowed are eliminated on consolidation at the gross profit level. The remaining figures presented below gross profit primarily relate to interest and classification of intercompany management fees.

Income statement - Eliminations			
\$'000	FY21	FY22	TTM Mar-23
Sales	(6,042)	(11,873)	(12,048)
Cost of sales	6,041	11,851	12,020
Gross profit	(1)	(22)	(28)
Operating expenses	10,334	11,554	12,210
Operating income	10,333	11,532	12,181
Other income and expenses	(10,911)	(12,210)	(12,865)
Net income	(579)	(678)	(684)

Source: Management provided information

03

Balance sheet

3.1	Balance sheet overview	28
3.2	Net working capital	31

Balance sheet overview (1/3)

Stratified balance sheet					
\$'000	As at			Stratification as at	
	31-Dec-21	31-Dec-22	31-Mar-23	NWC	Others
Assets					
Cash	2,852	2,649	(840)	-	(840)
Accounts receivable	37,544	39,143	36,889	36,889	-
Deposits	274	2,122	947	947	-
Inventory	6,754	13,275	14,695	14,695	-
WIP	535	705	1,245	1,245	-
Payroll clearing	(10)	-	-	-	-
Prepaid expenses	1,768	2,549	2,049	2,049	-
Current assets	49,716	60,444	54,984	55,824	(840)
Property, plant and equipments	26,928	27,259	28,981	-	28,981
Intangible assets	115,352	112,503	111,535	-	111,535
Advances	496	244	244	-	244
Loan receivable	-	1,005	1,005	-	1,005
Non current assets	142,777	141,011	141,766	-	141,766
Assets	192,493	201,455	196,750	55,824	140,926
Liabilities					
Accounts payable	(9,732)	(13,039)	(9,946)	(9,946)	-
Accrued expenses	(5,623)	(5,576)	(4,399)	(4,399)	-
Payroll liabilities	(327)	(422)	(414)	(414)	-
Taxes payable	(13,286)	(13,097)	(12,282)	(12,282)	-
Deposits	(990)	(98)	(27)	(27)	-
Current portion of long term debt	-	(4,293)	(4,601)	-	(4,601)
Other current liabilities	(5,590)	(10,716)	(9,969)	(9,969)	-
Current liabilities	(35,549)	(47,242)	(41,637)	(37,037)	(4,601)
Vehicle purchase	-	(364)	(1,937)	-	(1,937)
Long-term debt	(61,150)	(48,250)	(47,200)	-	(47,200)
Capital lease	(381)	(276)	(249)	-	(249)
Non current liabilities	(61,531)	(48,890)	(49,386)	-	(49,386)
Liabilities	(97,079)	(96,132)	(91,024)	(37,037)	(53,987)
Net assets	95,414	105,322	105,726	18,788	86,938

Source: Management provided information

Overview

Net working capital

Net working capital is comprised of the following balances:

- **Accounts receivable:**
 - Receivables are tracked by customer and by invoice. Balances are reviewed on a weekly basis to ensure timely collection. Typical payment terms for larger customers is 60 days and 30 days for regular customers. The Company doesn't provide discounts for early payments.
 - **Allowance for doubtful accounts:** Credits over \$5,000 are insured with AIG. Balances above \$150,000 need to be disclosed and are subject to a deductible amount. In case of any defaults, 90.0% of the amount due is covered by the agency. Please see appendix 5.3 for aging detail.
 - Holdbacks are part of relationships with customers and are calculated as a percentage of equipment and service sales. There are no holdbacks on service sales, just with equipment sales.
- **Deposits:** Primarily relate to contracted vendors which require advance payment. The increase from \$274,000 as at December 31, 2021 to \$947,000 as at March 31, 2023 is driven by deposits on purchases.
- **Inventory:**
 - As at March 31, 2023, inventory is mainly comprised of inventory parts (\$3.5 million), generators (\$3.1 million) and WIP sales (\$7.0 million).
 - **Work-in-progress (WIP):** Work-in-progress relates to costs incurred on incomplete jobs including labor and materials, until they are billed to customers. This balance is reviewed at year-end.
 - Parts inventory is measured at the lower of cost and net realizable value, determined using the average cost method. Equipment inventory is determined on first-in, first-out basis. Refer to reporting environment for inventory policy details.
 - Inventory is written down to net realizable value when inventory is considered non-recoverable due to obsolescence, damage, or permanent decline in selling prices. Historically, minimal amounts have been written down including \$70,000 of parts inventory for 2022.

Balance sheet overview (2/3)

Stratified balance sheet					
\$'000	As at			Stratification as at	
	31-Dec-21	31-Dec-22	31-Mar-23	NWC	Others
Assets					
Cash	2,852	2,649	(840)	-	(840)
Accounts receivable	37,544	39,143	36,889	36,889	-
Deposits	274	2,122	947	947	-
Inventory	6,754	13,275	14,695	14,695	-
WIP	535	705	1,245	1,245	-
Payroll clearing	(10)	-	-	-	-
Prepaid expenses	1,768	2,549	2,049	2,049	-
Current assets	49,716	60,444	54,984	55,824	(840)
Property, plant and equipments	26,928	27,259	28,981	-	28,981
Intangible assets	115,352	112,503	111,535	-	111,535
Advances	496	244	244	-	244
Loan receivable	-	1,005	1,005	-	1,005
Non current assets	142,777	141,011	141,766	-	141,766
Assets	192,493	201,455	196,750	55,824	140,926
Liabilities					
Accounts payable	(9,732)	(13,039)	(9,946)	(9,946)	-
Accrued expenses	(5,623)	(5,576)	(4,399)	(4,399)	-
Payroll liabilities	(327)	(422)	(414)	(414)	-
Taxes payable	(13,286)	(13,097)	(12,282)	(12,282)	-
Deposits	(990)	(98)	(27)	(27)	-
Current portion of long term debt	-	(4,293)	(4,601)	-	(4,601)
Other current liabilities	(5,590)	(10,716)	(9,969)	(9,969)	-
Current liabilities	(35,549)	(47,242)	(41,637)	(37,037)	(4,601)
Vehicle purchase	-	(364)	(1,937)	-	(1,937)
Long-term debt	(61,150)	(48,250)	(47,200)	-	(47,200)
Capital lease	(381)	(276)	(249)	-	(249)
Non current liabilities	(61,531)	(48,890)	(49,386)	-	(49,386)
Liabilities	(97,079)	(96,132)	(91,024)	(37,037)	(53,987)
Net assets	95,414	105,322	105,726	18,788	86,938

Source: Management provided information

Overview (continued)

Net working capital (continued)

- *Inventory (continued):*
 - The \$235,000 balance in FMV bump for inventory relates to revaluation of inventory at the time of acquisition.
 - The Company performs a complete physical inventory count once a year with minimal variances identified.
 - Average DIO for the company increased from 30 days in 2021 to 56 days in TTM Mar-23 driven by higher parts inventory from acquisitions.
- *Prepaid expenses:* As at December 31, 2021, prepaid expenses primarily consist of premium payments to Aon Reen Stenhouse Inc. (\$460,000), subscriptions and fees (\$32,000) and software and license expenses (\$45,000).
- *Accounts payable:*
 - As at March 31, 2023, accounts payable predominantly consist of \$4.0 million due to Generac Power Systems, Inc. for generators, transfer switches, and mobile pump and light towers purchased.
 - Approximately 89.2% of the payables are due within 30 days of invoice as of March 31, 2023.
- *Accrued expenses:*
 - *Accrued liabilities (\$2.1 million):* Mainly relates to KPMG audit fees, finished goods job costing accruals and rental revenue accrual.
 - *Accrued purchases (\$691,000):* Relates to general accruals for goods (such as filters and washers) received but not yet invoiced.
 - *Accrued commissions (\$849,000):* Comprised of accrued bonus and commissions. Bonus is accrued monthly on straight line basis while commissions are based on sales targets. Commissions are provided to the Company's sales managers and representatives based on targets for bookings, revenue and other KPI's.

Balance sheet overview (3/3)

Stratified balance sheet					
\$'000	As at			Stratification as at	
	31-Dec-21	31-Dec-22	31-Mar-23	NWC	Others
Assets					
Cash	2,852	2,649	(840)	-	(840)
Accounts receivable	37,544	39,143	36,889	36,889	-
Deposits	274	2,122	947	947	-
Inventory	6,754	13,275	14,695	14,695	-
WIP	535	705	1,245	1,245	-
Payroll clearing	(10)	-	-	-	-
Prepaid expenses	1,768	2,549	2,049	2,049	-
Current assets	49,716	60,444	54,984	55,824	(840)
Property, plant and equipments	26,928	27,259	28,981	-	28,981
Intangible assets	115,352	112,503	111,535	-	111,535
Advances	496	244	244	-	244
Loan receivable	-	1,005	1,005	-	1,005
Non current assets	142,777	141,011	141,766	-	141,766
Assets	192,493	201,455	196,750	55,824	140,926
Liabilities					
Accounts payable	(9,732)	(13,039)	(9,946)	(9,946)	-
Accrued expenses	(5,623)	(5,576)	(4,399)	(4,399)	-
Payroll liabilities	(327)	(422)	(414)	(414)	-
Taxes payable	(13,286)	(13,097)	(12,282)	(12,282)	-
Deposits	(990)	(98)	(27)	(27)	-
Current portion of long term debt	-	(4,293)	(4,601)	-	(4,601)
Other current liabilities	(5,590)	(10,716)	(9,969)	(9,969)	-
Current liabilities	(35,549)	(47,242)	(41,637)	(37,037)	(4,601)
Vehicle purchase	-	(364)	(1,937)	-	(1,937)
Long-term debt	(61,150)	(48,250)	(47,200)	-	(47,200)
Capital lease	(381)	(276)	(249)	-	(249)
Non current liabilities	(61,531)	(48,890)	(49,386)	-	(49,386)
Liabilities	(97,079)	(96,132)	(91,024)	(37,037)	(53,987)
Net assets	95,414	105,322	105,726	18,788	86,938

Source: Management provided information

Overview (continued)

Net working capital (continued)

- **Payroll liabilities:** Comprised of accrued vacation, personal days, employee tax payments, and group insurance. Salaried employees are paid on a bi-weekly basis through ADP software.
- **Taxes payable:** Primarily consist of corporate tax and sales taxes payables. All corporate taxes have been removed as a definitional adjustment from NWC.
- **Other current liabilities:** Predominantly consists of billings in excess of costs (\$9.3 million) as at March 31, 2023, representing payments received from customers on delayed equipment orders due to supply-chain disruptions. The unearned revenue is recognized as sales revenue on the percentage of completion method based on the ratio of actual costs incurred to the total expected costs to complete the contract.

Other non current assets:

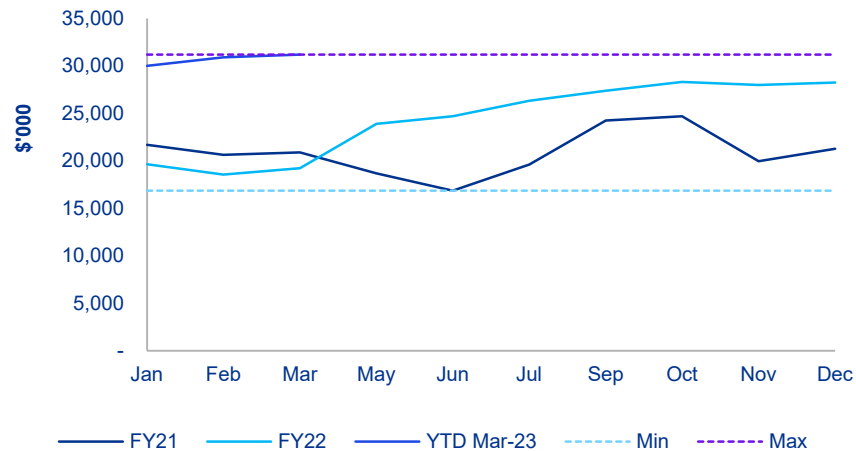
- **Property, plant and equipment:** Mainly includes Genset rentals (\$16.1 million), shop equipment (\$1.6 million), cooling equipment (\$3.0 million), and trucks (\$2.8 million) as at March 31, 2023.
- **Intangible assets:** Includes balances for trademarks and names, customer relationships, non-compete agreements, and computer software. Goodwill of \$82.1 million arises from the multiple acquisitions completed, including Discovery Diesel in 2020 and Smith's Diesel in July 2022. Goodwill is not amortized and is tested for impairment whenever changes in circumstances indicate as such.
- **Loan receivable:** The \$1.0 million shareholder loan is due from select employees who have invested in the Company. The amount is due at the time of sale of the Company.

Net working capital (1/9) – Overview

Net working capital						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Net working capital, reported	11,316	14,846	18,788	7,785	10,775	13,002
Definitional adjustments	12,488	12,240	11,186	13,691	12,557	12,291
Adjustments	(2,518)	(0)	177	(671)	17	644
Net working capital, adjusted	21,287	27,086	30,151	20,804	23,348	25,937
Adjusted WC, as a % of net sales	14.8%	18.3%	19.0%	14.5%	15.8%	16.3%
Pro forma adjustments			1,056			1,617
Net working capital, adjusted			31,207			27,554
Adjusted WC, as a % of net sales			18.8%			16.6%

Source: Management provided information

Adjusted net working capital seasonality



Source: Management provided information

Overview

Basis of presentation

The working capital schedule summarizes reported working capital (derived from the stratified balance sheet analysis), and adjustments to be considered for March 31, 2023. Such proposed adjustments are not deemed to be all-inclusive. The validity of these adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

Analysis buildup and reconciliation to audit

The Company's trial balances were utilized to build the financial statements and net working capital analysis. See Appendix 5.1 for reconciliation of the financial statements to the audited financial statements. *Note: the latest available audited financial statements is for year ended December 31, 2022.*

Adjustments

The nature of the adjustments included in the analysis are as follows:

- **Adjustments:** Net working capital impact of adjustments from the QofE and other incremental adjustments to reflect ongoing net working capital needs.
- **Pro forma adjustments:** Adjustments for changes of business operations that may impact historical and working capital including impact of the Smith's Diesel acquisition, and other items.

Net working capital (2/9) – Adjustments

Net working capital						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Current assets						
Accounts receivable	37,544	39,143	36,889	35,563	34,194	35,426
Inventory	6,754	13,275	14,695	6,066	9,805	11,568
Payroll clearing	(10)	-	-	64	(2)	-
Prepaid expenses & deposits	2,042	4,671	2,996	1,907	2,126	2,393
WIP	535	705	1,245	682	795	906
Other current assets	-	-	-	0	-	-
Current assets	46,865	57,795	55,824	44,283	46,918	50,292
Current liabilities						
Accrued expenses	(5,623)	(5,576)	(4,399)	(4,748)	(5,020)	(5,084)
Accounts payable	(9,732)	(13,039)	(9,946)	(9,583)	(8,227)	(8,909)
Payroll liabilities	(327)	(422)	(414)	(433)	(436)	(447)
Taxes payable	(13,286)	(13,097)	(12,282)	(14,590)	(13,220)	(12,969)
Deposits	(990)	(98)	(27)	(2,013)	(353)	(107)
Other current liabilities	(5,590)	(10,716)	(9,969)	(5,131)	(8,887)	(9,775)
Current liabilities	(35,549)	(42,949)	(37,037)	(36,499)	(36,143)	(37,290)
Net working capital, reported	11,316	14,846	18,788	7,785	10,775	13,002
<i>As % of TTM net sales</i>	<i>7.9%</i>	<i>10.0%</i>	<i>11.8%</i>	<i>5.4%</i>	<i>7.3%</i>	<i>8.2%</i>
Definitional adjustments						
Income taxes payable	1	12,538	12,104	11,099	13,769	12,331
Debt like balances	2	-	400	320	-	215
Inventory- fmV bump	3	(51)	(268)	(235)	(80)	(46)
Management fee	4	-	-	-	55	70
Petty cash	5	1	3	2	1	1
Definitional adjustments	12,488	12,240	11,186	13,691	12,557	12,291
Net working capital, defined	23,804	27,086	29,974	21,475	23,332	25,293
Adjustments	(2,518)	(0)	177	(671)	17	644
Net working capital, adjusted	21,287	27,086	30,151	20,804	23,348	25,937
<i>As % of TTM net sales</i>	<i>14.8%</i>	<i>18.3%</i>	<i>19.0%</i>	<i>14.5%</i>	<i>15.8%</i>	<i>16.3%</i>
Pro forma adjustments			1,056			1,617
Net working capital, pro forma adjusted			31,207			27,554
<i>As % of TTM net sales</i>			<i>18.8%</i>			<i>16.6%</i>

Source: Management provided information

Definitional adjustments

- Income taxes payable:** This adjustment removes income tax payables from net working capital by definition.
- Debt like balances:** Prepaid interest balances and annual agency fee included within prepaid expenses general ledger account #11670 have been removed from net working capital by definition.
- Inventory FMV bump:** Previous acquisition resulted in purchase accounting – fair market value (increase) impact to inventory. The non-cash and accounting impact is non-recurring and removed from inventory for normalization purposes. (Note – there is no impact to EBITDA/quality of earnings analysis as the inventory FMV is amortized to EBITDA through the amortization expense line, which is excluded from reported EBITDA).
- Management fee:** Prepaid balances for management fee have been removed from net working capital as these do not relate to the core operations of the business, consistent with quality of earnings adjustment #2.
- Petty cash:** The cash used for day-to-day operations of the business has been added back to net working capital.

Net working capital (3/9) – Adjustments

Net working capital						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Net working capital, reported	11,316	14,846	18,788	7,785	10,775	13,002
Definitional adjustments	12,488	12,240	11,186	13,691	12,557	12,291
Net working capital, defined	23,804	27,086	29,974	21,475	23,332	25,293
Adjustments						
NWC impact of QofE adjustments	6	-	(0)	177	460	415
AR impact of CEWs	7	(2,861)	-	-	(1,159)	(715)
Impact of change in inventory policy	8	343	-	-	29	314
Adjustments	(2,518)	(0)	177	(671)	17	644
Net working capital, adjusted	21,287	27,086	30,151	20,804	23,348	25,937
As % of TTM net sales	14.8%	18.3%	19.0%	14.5%	15.8%	16.3%
Pro forma adjustments			1,056			1,617
Net working capital, pro forma adjusted			31,207			27,554
As % of TTM net sales			18.8%			16.6%

Source: Management provided information

Adjustments

6. Net working capital impact of quality of earnings adjustments: The following adjustments correspond to the net working capital impact of quality of earnings adjustments:

- a. *AR impact of Generac Annual Rebate Estimate:* Generac Power Systems provides the Company a 1.5% to 2.0% rebate if certain purchasing targets are met. These rebates are recorded quarterly and annually. The adjustment reflects an indicative normalization impact on accounts receivable from the quality of earnings adjustment #6, on a monthly cumulative basis.

AR impact of Generac rebate normalization						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Generac rebate normalization	(922)	(832)	(35)	-	(0)	(3)
AR impact of Generac rebate normalization	-	(0)	177	460	418	411

Source: Management provided information

- b. *AP impact of transaction related expenses:* In February 2023, the Company incurred fees related to payments for US tax filings work. The balance payment in February 2023 was related to the Company's private equity sponsor and has therefore been excluded from accounts payable and accrued liabilities corresponding to QofE adjustment #1a.

Transaction related expenses						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Transaction adjustment as per QofE	-	-	-	-	-	3
DPO	42	43	33	34	36	36
Days in month	31	31	31	30	30	30
NWC adjustment	-	-	-	-	-	3

Source: Management provided information

Net working capital (4/9) – Adjustments

Net working capital						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Net working capital, reported	11,316	14,846	18,788	7,785	10,775	13,002
Definitional adjustments	12,488	12,240	11,186	13,691	12,557	12,291
Net working capital, defined	23,804	27,086	29,974	21,475	23,332	25,293
Adjustments						
NWC impact of QofE adjustments	6	-	(0)	460	418	415
AR impact of CEWs	7	(2,861)	-	(1,159)	(715)	-
Impact of change in inventory policy	8	343	-	29	314	229
Adjustments	(2,518)	(0)	177	(671)	17	644
Net working capital, adjusted	21,287	27,086	30,151	20,804	23,348	25,937
As % of TTM net sales	14.8%	18.3%	19.0%	14.5%	15.8%	16.3%
Pro forma adjustments			1,056			1,617
Net working capital, pro forma adjusted			31,207			27,554
As % of TTM net sales			18.8%			16.6%

Source: Management provided information

Adjustments (continued)

7. **AR impact of CEWS:** As mentioned in QofE adjustment #7, in 2022, the Company received Canada Emergency Wage Subsidy (CEWS) from the government in response to COVID-19. As these amounts are not related to normal operations, the indicative accounts receivable impact based on average DSO has been removed from net working capital.

AR impact of CEWS						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Accounts receivable - other	(305)	-	-	(238)	-	-
NWC adjustment	(2,861)	-	-	(1,159)	(715)	-

Source: Management provided information

8. **Impact of change in inventory policy:** Beginning December 2022, consistent with GAL, LM also started quantifying the unused fuel in gas tanks of vehicles and rental units and recorded it as inventory. This resulted in recognition of additional fuel of \$755,000 in the balance sheet under GL# 11452. As such, inventory stored in the fleet and tanks as of December 2021 has been quantified and added to the net working capital to present full year impact of policy implementation.

Fuel inventory policy change						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Balance Sheet, reported	-	755	682	-	63	246
Exclude: GAL TO Assets	-	(180)	-	-	(15)	(15)
Balance Sheet, excluding GAL TO Assets	-	575	682	-	48	231
FY21 Opening Balance	343	-	-	29	314	229
Balance Sheet, adjusted	343	575	682	29	362	459
NWC adjustment	343	-	-	29	314	229

Source: Management provided information

Net working capital (5/9) – Pro forma adjustments

Net working capital						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Net working capital, reported	11,316	14,846	18,788	7,785	10,775	13,002
Definitional adjustments	12,488	12,240	11,186	13,691	12,557	12,291
Net working capital, defined	23,804	27,086	29,974	21,475	23,332	25,293
Adjustments	(2,518)	(0)	177	(671)	17	644
Net working capital, adjusted	21,287	27,086	30,151	20,804	23,348	25,937
As % of TTM net sales	14.8%	18.3%	19.0%	14.5%	15.8%	16.3%
Pro forma adjustments						
Run rate impact of rental fleet expansion	9		715			1,104
Current assets			-			349
Current liabilities			-			(158)
Smith's Diesel acquisition	10		-			191
North Power acquisition	11		206			170
Air Cooled Engine Services acquisition	12		129			146
NWC impact of payroll related QofE adjustments	13		7			7
Pro forma adjustments			1,056			1,617
Net working capital, pro forma adjusted			31,207			27,554
As % of TTM net sales			18.8%			16.6%

Source: Management provided information

Pro forma adjustments

9. **Run rate impact of rental fleet expansion:** The combined rental fleet of the Company was expanded by 36 generators during 2022 and YTD May-23. Corresponding to quality of earnings adjustment #9, this adjustment reflects the incremental net working capital required for the expansion to TTM Mar-23 on indicative basis.

Run rate impact of rental fleet expansion		
\$'000	As at	Average
	31-Mar-23	TTM Mar-23
Indicative accounts receivable	644	1,031
Indicative inventory	156	216
Indicative accounts payable	(85)	(143)
Indicative net working capital impact	715	1,104

Source: Management provided information

10. **Smith's Diesel acquisition:** In July 2022, the Company acquired Smith's Diesel. Consistent with quality of earnings adjustment #11, reported pre acquisition net working capital of the acquisition has been added from April 2022 to July 2022.

Adjusted net working capital - Smith's Diesel		
\$'000	As at	Average
	31-Mar-23	TTM Mar-23
Accounts receivable	-	196
Inventory	-	153
Prepaid expenses & deposits	-	-
Current assets	-	349
Accrued expenses	-	(9)
Accounts payable	-	(136)
Taxes payable	-	(10)
Other current liabilities	-	(3)
Current liabilities	-	(158)
Net working capital, adjusted	-	191

Source: Management provided information

Net working capital (6/9) – Pro forma adjustments

Net working capital						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Net working capital, reported	11,316	14,846	18,788	7,785	10,775	13,002
Definitional adjustments	12,488	12,240	11,186	13,691	12,557	12,291
Net working capital, defined	23,804	27,086	29,974	21,475	23,332	25,293
Adjustments	(2,518)	(0)	177	(671)	17	644
Net working capital, adjusted	21,287	27,086	30,151	20,804	23,348	25,937
As % of TTM net sales	14.8%	18.3%	19.0%	14.5%	15.8%	16.3%
Pro forma adjustments						
Run rate impact of rental fleet expansion	9		715			1,104
Current assets			-			349
Current liabilities			-			(158)
Smith's Diesel acquisition	10		-			191
North Power acquisition	11		206			170
Air Cooled Engine Services acquisition	12		129			146
NWC impact of payroll related QofE adjustments	13		7			7
Pro forma adjustments			1,056			1,617
Net working capital, pro forma adjusted			31,207			27,554
As % of TTM net sales			18.8%			16.6%

Source: Management provided information

Pro forma adjustments (continued)

11. North Power acquisition: The Company completed the acquisition of North Power Emergency Generator Systems Limited on May 1, 2023. Further to quality of earnings adjustment #12, to present the Company's net working capital on a go-forward basis, indicative net working capital impact of the acquisition has been added as a part of this acquisition.

North Power acquisition		
\$'000	As at	Average
	31-Mar-23	TTM Mar-23
Indicative accounts receivable	201	183
Indicative inventory	64	33
Indicative accounts payable	(44)	(32)
Indicative payroll	(14)	(14)
Indicative net working capital impact	206	170

Source: Management provided information

12. Air Cooled Engine Services acquisition: The Company concluded the acquisition of Air Cooled Engine Services Limited (Custom Generators) in June 2023. In conjunction with quality of earnings adjustment #13, the indicative net working capital impact has been included in net working capital.

Air Cooled Engine Services acquisition		
\$'000	As at	Average
	31-Mar-23	TTM Mar-23
Indicative accounts receivable	110	148
Indicative inventory	61	51
Indicative accounts payable	(43)	(49)
Indicative payroll	-	(4)
Indicative net working capital impact	129	146

Source: Management provided information

Net working capital (7/9) – Pro forma adjustments

Net working capital						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Net working capital, reported	11,316	14,846	18,788	7,785	10,775	13,002
Definitional adjustments	12,488	12,240	11,186	13,691	12,557	12,291
Net working capital, defined	23,804	27,086	29,974	21,475	23,332	25,293
Adjustments	(2,518)	(0)	177	(671)	17	644
Net working capital, adjusted	21,287	27,086	30,151	20,804	23,348	25,937
As % of TTM net sales	14.8%	18.3%	19.0%	14.5%	15.8%	16.3%
Pro forma adjustments						
Run rate impact of rental fleet expansion	9		715			1,104
Current assets			-			349
Current liabilities			-			(158)
Smith's Diesel acquisition	10		-			191
North Power acquisition	11		206			170
Air Cooled Engine Services acquisition	12		129			146
NWC impact of payroll related QofE adjustments	13		7			7
Pro forma adjustments			1,056			1,617
Net working capital, pro forma adjusted			31,207			27,554
As % of TTM net sales			18.8%			16.6%

Source: Management provided information

Pro forma adjustments (continued)

13. NWC impact of payroll related QofE adjustments: Reflects the net working capital impact of payroll related quality of earnings based on 14 payroll days and number of days in the month:

Payroll related adjustments		
\$'000	As at	Average
	31-Mar-23	TTM Mar-23
Payroll savings - ERP implementation	15	15
Payroll related adjustments	15	15
Payroll cycle, days	14	14
Days in month	31	30
NWC adjustment	7	7

Source: Management provided information

- a. **ERP implementation:** Project manager and software developer roles solely dedicated for ERP implementation will be eliminated post ERP implementation. Corresponding to quality of earnings adjustment #10, the adjustment adds back the net working capital impact of the redundant roles.

Net working capital (8/9) – Other considerations

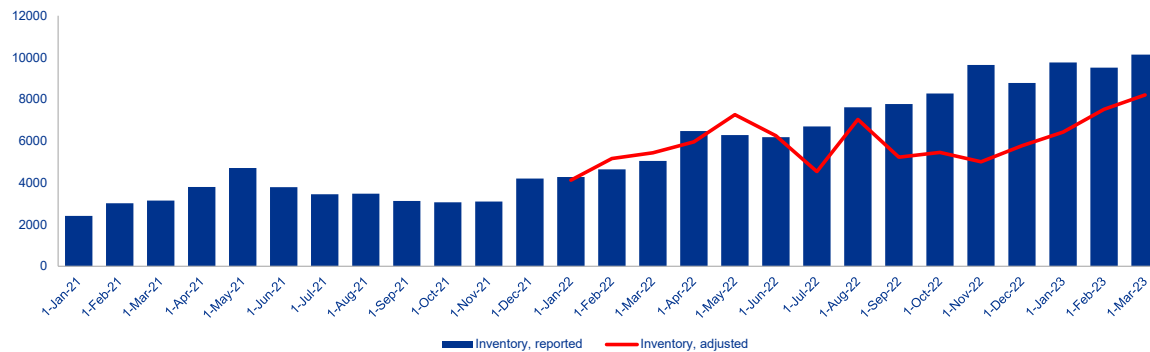
Other considerations

The following include potential net working capital considerations identified during due diligence. These items relate to other matters that may be considered in the overall evaluation of the Company. Given the subjective nature of these assumptions, they have not been included in the net working capital schedule.

- A. Inventory adjustment:** Due to the impact of supply chain constraints, the Company has experienced an elevated level of inventory as certain items have required longer lead times within work in process and delivery of certain items. As such, an adjustment to calculate normalized inventory levels based on the 2021 monthly DIO has been calculated from January 2022 onwards.

Inventory adjustment						
\$'000	As at			Average		
	31-Dec-21	31-Dec-22	31-Mar-23	FY21	FY22	TTM Mar-23
Inventory, reported	4,202	8,783	10,137	3,443	6,809	8,096
Inventory, adjusted	-	5,781	8,207	-	5,604	6,222
NWC adjustment	-	3,002	1,930	-	1,205	1,874

Source: Management provided information

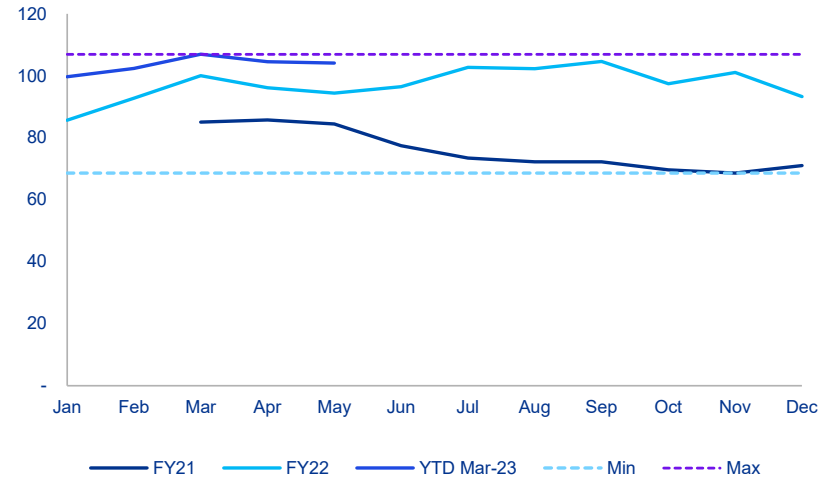


Net working capital (9/9) – Metrics

Working capital metrics, adjusted			
	FY21	FY22	TTM Mar-23
DSO			
Max	104	89	87
Average	88	84	82
Min	81	78	78
Variance from high	16	6	5
Variance from low	(8)	(6)	(4)
DIO			
Max	37	58	61
Average	30	52	56
Min	23	40	50
Variance from high	7	6	5
Variance from low	(7)	(12)	(6)
DPO			
Max	49	44	45
Average	43	38	38
Min	35	33	33
Variance from high	7	6	7
Variance from low	(7)	(4)	(5)
Cash conversion cycle			
Max	86	105	107
Average	76	97	100
Min	69	86	93
Variance from high	10	7	7
Variance from low	(7)	(12)	(7)

Source (all): Management provided information

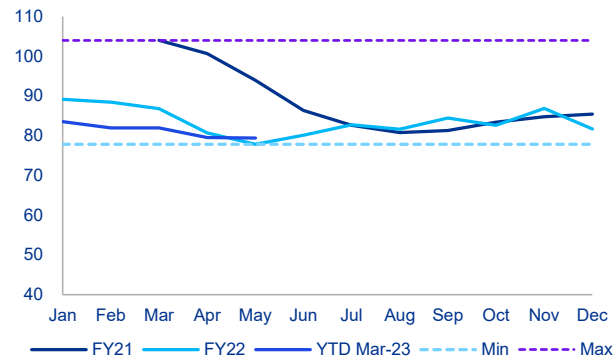
Cash conversion cycle, adjusted



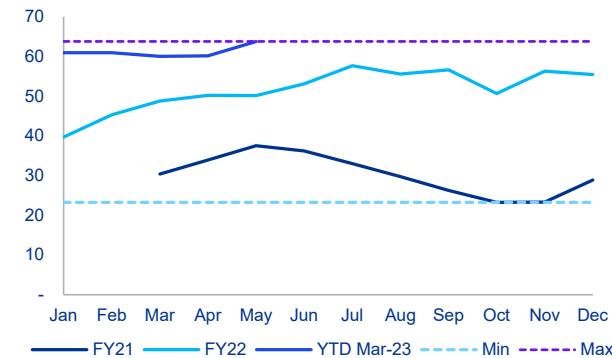
Overview

- **DSO:** The average DSO remained generally consistent due to customer retention and fixed nature of rental and service revenue earnings.
- **DIO:** The increase in average DIO in 2022 and TTM Mar-23 is due to higher levels of inventory driven by increased number of generators stocked to address the supply chain constraints.
- **DPO:** The Company's DPO has remained relatively consistent within FY22 and TTM Mar-23 with an average of 38 days. Approximately 89.2% of the payables are due within 30 days of invoice as of March 31, 2023.

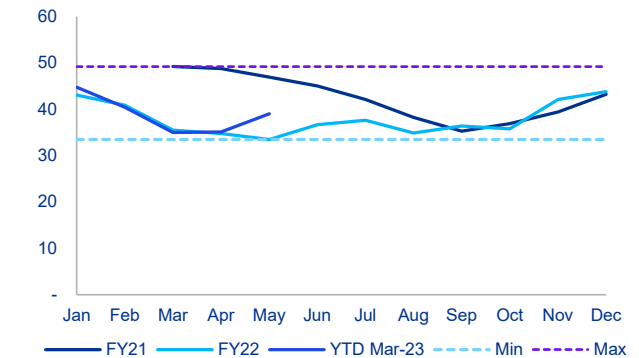
DSO, adjusted



DIO, adjusted



DPO, adjusted



04

Reporting environment

4.1 Financial reporting environment

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Financial reporting environment (1/3)

The information on this page is based on management information and management discussions. We have not performed any testing of systems or controls and have not performed an audit or review of any financial information.

Reporting and Consolidation

- The financials are finalized within 3 weeks of the month end and approximately 16 weeks at year end.
- The Company reports on a consolidated basis under ASPE with a December 31 year end.
- At month end, controllers at G.A.L. (Ottawa) and Total Power Limited (Mississauga) review the consolidated statements and share it with the senior management team (Director of Finance and CFO) for further review.
- Related party transactions are tracked separately and reviewed by management before posting any journal entry. The transactions are consolidated at each month end before closing.
- Intercompany transactions are eliminated at the gross profit level and are recorded without any transfer pricing.
- The following entities are included in the consolidation. These entities maybe previously formed from prior acquisitions. **However, the Company manages the business based its business lines (rental, service, equipment, etc.) as opposed to by entity.**
 - G.A.L. Power Systems Ottawa Ltd.; G.A.L. Power Systems Toronto Ltd.; Les Produits Énergétiques G.A.L. Inc.; G.A.L. Power Northern Ltd.; Total Power Limited; L.M. Generating Power Co. Ltd.; TPL Installations Inc.; Smith's Diesel Power and Generation-Services Ltd.

Revenue recognition

Revenue recognition by activity:

- *Equipment rentals*: Recognized as the rental service is rendered, based upon agreed daily, weekly, or monthly rates, and collectability is reasonably assured.
- *Equipment sales, services, fuel, and non-milestone based projects*: Recognized when the goods are shipped, or services are provided to the customer with no right of return and recovery of the consideration is probable.
- *Milestone based contracts*: Recognized on the percentage of completion method as work is performed, and when the customer takes ownership and assumes risk of loss, collection of the related receivable is probable, persuasive evidence of an arrangement exists, and the sales price is fixed or determinable.
 - The percentage of completion is determined based on the proportion of actual costs incurred to the total expected costs to complete the contract.
 - Billings in excess of costs are reflected as deferred revenue. Costs in excess of billings are classified as accrued revenue.
- *Allowance for doubtful accounts*: Credits over \$150,000 are insured with AIG, as well as balances between \$5,000 and \$150,000 on a non-disclosure basis, subject to a deductible amount. In case of any defaults, 90.0% of the amount due is covered by the agency.
- Accounts receivable are reviewed on a weekly basis to ensure timely collection.

Financial reporting environment (2/3)

The information on this page is based on management information and management discussions. We have not performed any testing of systems or controls and have not performed an audit or review of any financial information.

Inventory

Inventories include materials and work-in-progress. Materials inventory is measured at the lower of cost and net realizable value, determined using the average cost method. Net realizable value is estimated using the selling price in the ordinary course of business less estimated selling expenses.

- Work-in-progress inventory includes labor and materials costs incurred on incomplete jobs.
- Inventories are written down to net realizable value if they are not estimated to be recoverable due to obsolescence, damage, or permanent declines in selling prices. \$70,000 of parts inventory write-down was reported in 2021 while no additional write-down was estimated in 2022.
- If the circumstances that previously caused inventories to be written down below cost no longer exist or there is clear evidence of an increase in retail selling price, the write-down amount previously recorded is reversed.

Foreign exchange

The Company uses the temporal method of accounting for foreign currency transactions. Balance sheet and income statement transactions denominated in other than Canadian dollars are translated into Canadian dollars at the rate of exchange when the transaction occurred. At the balance sheet date, foreign currency denominated monetary assets and liabilities are translated at the foreign exchange rate in effect at such date.

Related party transaction

The companies related party transactions are both monetary and non-monetary in nature.

- The monetary and non-monetary related party transactions with commercial substance are measured at the exchange amount when they occur in the normal course of operations. However, non-monetary exchanges of products or property held-for-sale do not follow this rule.
- If the related party transaction is not in the normal course of operations, it is measured at the exchange amount when there is a significant change in ownership of the item transferred and independent evidence supports this amount.
- Management fee of USD\$173,644 is paid to the Trivest team each quarter.

Accounts payable

Amounts overdue are reviewed on semi monthly basis, when reviewing cheque runs. Please see appendix 5.4 for aging detail.

Financial reporting environment (3/3)

The information on this page is based on management information and management discussions. We have not performed any testing of systems or controls and have not performed an audit or review of any financial information.

Payroll

- *Pay cycle:*
 - *Salaried employees:* Paid on a bi-weekly basis.
 - *Pay cycle, technicians:* Paid bi-weekly based on an hourly rate. Hours are tracked through Mobile Tech software and are added to the Great Plains software and reviewed by service managers. Lastly, the payroll team imports these hours into ADP for final review.
- *Commissions:* Sales managers and representatives are paid through a combination of salary and commissions. Commissions are paid quarterly based on bookings, revenue, gross margin targets and other criteria.
- *Bonuses:* Paid out either annually or quarterly depending on the employee function.
 - Corporate bonuses are paid based on EBITDA and metrics such as revenue, bookings or SMART goals.
 - General employees are paid based on gross margin, bookings targets, KPI achievements and other SMART goals as defined by the Company.
- *Annual reviews:* Initial reviews are prepared by department managers and approved by senior management.
 - Reviews take place at the end of January for salaried employees. New pay rates then go into affect on March 1 of the calendar year.
 - For technicians, annual reviews take place in early December and related pay changes go into affect starting January 1.
- *Payroll system:* All payroll is processed through the ADP system, which is then mapped to and recorded in the relevant Great Plains expense account through a journal entry.

Intercompany transactions - Rentals

In order to increase rental asset utilization, Total Power (TPL) re-rents idle generator units from LM. LM records revenue at a 20% discount, and TPL records the associated costs of sales related to renting from LM. When this occurs, the following journal entries are made:

1. LM records the revenue to TPL at a 20% discount.

Dr. Trade accounts receivable	800
Cr. Rental revenue	800
2. TPL records cost of sales paid to LM.

Dr. Cost of sales rental sublet	800
Cr. Trade accounts payable	800
3. TPL records the revenue from the sale to customer.

Dr. Trade account receivable	1000
Cr. Rental sublet revenue	1000
4. Elimination of intercompany revenue and costs of sales is recorded.

Dr. Rental revenue	800
Cr. Cost of sales rental sublet	800

Capital expenditures

Each year, an annual Capex budget is created for rental, service and shop equipment, IT hardware and vehicle fleet purchases. The budget is prepared by VP's or Directors, and is approved by the CEO. Any purchases outside of the budget scope must also be reviewed by the CEO or CFO before being initiated.

05

Appendices

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Audit to trial balance reconciliation

Presented below is the reconciliation of internal financials to audited financial statements.

Audit to trial balance reconciliation - Income statement								
\$'000	FY21				FY22			
	Per FS	Internal	Reclass	Variance	Per FS	Internal	Reclass	Variance
Equipment sales	53,334	53,337	-	3	39,496	39,496	-	0
Service	38,196	38,317	-	122	45,087	47,315	-	2,228
Rentals	43,480	43,479	-	(1)	56,800	56,800	-	0
Fuel Systems	8,886	8,801	-	(85)	6,832	4,625	-	(2,207)
Revenue	143,895	143,935	-	39	148,215	148,236	-	21
Cost of revenues	(93,977)	(92,534)	-	1,442	(90,159)	(90,341)	317	136
Gross profit	49,919	51,400	-	1,481	58,056	57,895	317	156
Expenses	(39,511)	(42,725)	3,113	(101)	(43,354)	(43,012)	(415)	(73)
Operating income	10,408	8,675	3,113	1,380	14,702	14,883	(98)	83
Other Income/(Expenses)	(328)	1,405	(3,113)	(1,380)	(3,168)	(3,347)	98	(81)
Earnings before taxes	10,080	10,081	-	0	11,534	11,536	-	2
Income taxes	(2,792)	(2,793)	-	(0)	(3,390)	(3,392)	-	(2)
Net income	7,288	7,288	-	(0)	8,144	8,144	-	(0)

Source: Management provided information.

1 The reclasses in 2021 relate to the following:

- *CEWS income*: \$2.9 million reclassified from Government subsidy in other income and expenses to salaries and benefits in expenses.
- *Bank charges*: \$253,000 reclassified from financial costs to bank charges and interest in expenses.

2 The reclasses in 2022 relate to the following:

- *Generac rebate*: \$1.7 million recorded as other income reclassified to cost of goods sold.
- Professional fees: Non-recurring expenses of \$620,000 recorded as other expenses in trial balance reclassified to professional fees in expenses.
- *Bank charges*: \$206,000 reclassified from financial costs to bank charges and interest in expenses.

Audit to trial balance reconciliation - Balance sheet								
\$'000	31-Dec-21				31-Dec-22			
	Per FS	Internal	Reclass	Variance	Per FS	Internal	Reclass	Variance
Cash	2,852	2,852	-	(0)	2,649	2,649	-	0
Accounts receivable	33,854	37,534	-	3,680	35,798	39,143	-	3,345
Accrued revenue	4,088	-	-	(4,088)	3,678	-	-	(3,678)
Inventories	7,289	7,289	-	0	13,981	13,981	-	(0)
Prepaid expenses and deposits	2,042	2,042	-	0	4,676	4,671	-	(5)
Due from related companies	244	-	244	-	1,249	-	1,249	-
Current Assets	50,369	49,716	244	(409)	62,031	60,444	1,249	(338)
Capital assets	26,658	26,928	-	270	27,032	27,259	-	227
Intangible assets	34,176	34,486	-	310	30,213	30,361	-	147
Goodwill	80,866	80,866	-	(0)	82,142	82,142	-	(0)
Others	-	496	(244)	253	-	1,249	(1,249)	0
Assets	192,069	192,493	-	424	201,418	201,455	-	36
Accounts payable and accrued liabilities	(16,202)	(15,682)	-	520	(19,576)	(19,038)	-	538
Income taxes payable	(314)	(1,062)	-	(748)	(706)	(994)	-	(288)
Deferred revenue	(6,964)	(6,580)	-	384	(11,606)	(10,813)	-	793
Current portion of long-term debt	(4,200)	-	-	4,200	(4,293)	(4,293)	-	(0)
Current portion of obligations under capital lease	(105)	-	-	105	(112)	-	-	112
Current Liabilities	(27,785)	(23,324)	-	4,461	(36,294)	(35,138)	-	1,156
Future income taxes	(12,224)	(12,224)	-	0	(11,398)	(12,748)	-	(1,350)
Long-term debt	(56,370)	(61,150)	-	(4,780)	(48,239)	(48,614)	-	(374)
Obligations under capital lease	(276)	(381)	-	(105)	(164)	(276)	-	(112)
Liabilities	(96,655)	(97,079)	-	(424)	(96,096)	(96,776)	-	(680)
Shareholders Equity	(95,414)	(95,414)	-	0	(105,323)	(104,678)	-	644
Liabilities and Shareholders Equity	(192,069)	(192,493)	-	(424)	(201,418)	(201,455)	-	(36)

Source: Management provided information.

1 The reclass in 2021 relates to the following:

- *Management fee*: \$244,000 reclassified from advances to due from related parties.

2 The reclasses in 2022 relate to the following:

- *Management fee*: \$244,000 reclassified from advances to due from related companies.
- *Shareholders' loan*: \$1.0 million reclassified from loan receivable to due from related parties.

Personnel

Consolidated payroll analysis presented below represents the Company's specific payroll costs as a percentage of revenue and of total payroll costs.

Payroll Analysis Consolidated			
\$'000	FY21	FY22	TTM Mar-23
Salaries	(34,229)	(35,909)	(36,336)
Commissions /Bonuses	(2,720)	(3,261)	(3,338)
Benefits and fringe	(1,991)	(1,900)	(1,886)
Payroll tax	(1,112)	(1,447)	(1,517)
Payroll	(40,053)	(42,516)	(43,077)
Revenue	143,935	148,236	158,738
As a % of total			
Salaries	85.5%	84.5%	84.4%
Commissions /Bonuses	6.8%	7.7%	7.7%
Benefits and fringe	5.0%	4.5%	4.4%
Payroll tax	2.8%	3.4%	3.5%
As a % of revenue			
Salaries	(23.8)%	(24.2)%	(22.9)%
Commissions /Bonuses	(1.9)%	(2.2)%	(2.1)%
Benefits and fringe	(1.4)%	(1.3)%	(1.2)%
Payroll tax	(0.8)%	(1.0)%	(1.0)%
Total payroll expenses	(27.8)%	(28.7)%	(27.1)%
Average Headcount	393	411	414
Average cost per employee (\$'000)			
Salaries	(87.1)	(87.4)	(87.8)
Commissions /Bonuses	(6.9)	(7.9)	(8.1)
Benefits and fringe	(5.1)	(4.6)	(4.6)
Payroll tax	(2.8)	(3.5)	(3.7)
Total	(101.9)	(103.4)	(104.0)

Source: Management provided information

- **Salaries:** In 2022, amongst the 106 employees hired, 46 were technicians. Additionally, in 2021, as part of cost saving initiatives, the Company eliminated certain positions.
- **Commissions/ Bonus:** Commissions and bonuses for sales representatives are based on employee function and specific targets such as total bookings, rental revenue targets, incentive plans, etc.
- **Benefits and fringe:** Mainly include health benefits, deferred profit sharing plans (DPSP) and workplace safety and insurance. During 2022, the Company introduced a combined health and dental plan for all entities to streamline the process across subsidiaries.
- **Payroll tax:** Predominantly relates to Canada Pension Plan (CPP) and Employer Health Tax (EHT). Payroll taxes as a percentage of total wages have increased from 2.8% in 2021 to 3.5% in TTM Mar-23 due to government regulations.

Accounts receivable aging

On an average, 78.7% of the Company's accounts receivables are due within 60 days.

AR Aging 31-Mar-23							AR Aging 31-Dec-22							AR Aging 31-Dec-21						
\$'000	Current	31-60	61-90	90 <	Total	As a % of total	\$'000	Current	31-60	61-90	90 <	Total	As a % of total	\$'000	Current	31-60	61-90	90 <	Total	As a % of total
Black & McDonald Limited	847	616	418	234	2,115	6.3%	Total Power Limited	608	387	12	2	1,008	2.9%	Rogers Media Inc.	355	235	124	-	714	2.5%
Bgis Canada Lp	358	241	78	364	1,042	3.1%	Cbre	397	303	159	59	919	2.6%	Ellisdon Corporation	344	248	42	56	690	2.4%
Total Power Limited	417	424	41	11	893	2.6%	Black & McDonald Limited	449	314	2	(1)	764	2.2%	Toyotetsu Canada Inc.	657	-	-	-	657	2.3%
Regal Tent Productions Ltd	377	312	-	-	689	2.0%	Bgis Canada Lp	367	143	43	103	656	1.9%	Platinum Power Group Inc.	-	498	12	110	621	2.1%
Kelly Cove Salmon	298	146	8	209	660	2.0%	BGIS	196	255	119	26	596	1.7%	Total Power Limited	182	329	10	39	559	1.9%
Janick Electric Limited	593	-	-	23	616	1.8%	Thorncrest Electric Inc.	59	-	145	351	554	1.6%	Arcamm Electric Ltd.	(1)	102	217	226	544	1.9%
Interior Health Authority	577	13	1	4	596	1.8%	Corporation Of The City Of Toronto	536	-	-	-	536	1.5%	Black & McDonald Limited	231	173	(20)	111	495	1.7%
BGIS	322	178	82	12	593	1.8%	Loblaws Inc.	223	7	189	74	493	1.4%	BGIS	171	171	47	70	459	1.6%
Speedy Electrical Contractors Ltd	87	421	-	-	508	1.5%	CBRE Limited	21	53	29	375	478	1.4%	Glenview Construction Ltd.	17	10	404	10	441	1.5%
Vollmer Inc.	492	-	-	-	492	1.5%	Arcamm Electric Ltd.	13	-	-	449	462	1.3%	Sutherland-Schultz Ltd.	422	-	-	-	422	1.5%
Top 10	4,369	2,350	629	856	8,204	24.3%	Top 10	2,869	1,461	698	1,439	6,467	18.5%	Top 10	2,377	1,766	837	621	5,602	19.2%
Others	13,311	6,488	1,876	3,834	25,509	75.7%	Others	13,461	8,636	3,072	3,252	28,422	81.5%	Others	10,419	6,636	2,587	3,882	23,524	80.8%
Total	17,680	8,839	2,505	4,690	33,714	100.0%	Total	16,331	10,097	3,769	4,692	34,889	100.0%	Total	12,796	8,402	3,424	4,503	29,126	100.0%
As a % of total	52.4%	26.2%	7.4%	13.9%	100.0%		As a % of total	46.8%	28.9%	10.8%	13.4%	100.0%		As a % of total	43.9%	28.8%	11.8%	15.5%	100.0%	

Source: Management provided information

The reasons behind ~14.0% receivables being outstanding for more than 90 days are:

- Service contracts signed for longer period of time
- Supply chain disruptions causing higher lead time to complete projects and administrative processing times.

Accounts payable aging

On an average 89.2% of the Company's payments are due within 30 days as presented below.

AP Aging 31-Mar-23						
\$'000	Current	31-60	61-90	90 <	Total	As a % of total
Generac Power Systems, Inc.	(3,616)	(37)	-	(322)	(3,976)	36.3%
177448 Canada Ltd	(651)	(218)	-	-	(869)	7.9%
Canada Clean Fuels Inc.	(490)	-	-	-	(490)	4.5%
L.m. Generating Power Co	(427)	(3)	-	-	(431)	3.9%
Blusta - Blue Star Power Systems Inc.(ach)	(377)	-	-	-	(377)	3.5%
Les Produits Energetiques Gal Inc	(260)	(3)	-	-	(262)	2.4%
10926167 Canada Inc.	-	-	-	(223)	(223)	2.0%
Iem - Canada	(216)	-	-	-	(216)	2.0%
Gal Power Northern Ltd	(194)	-	-	-	(194)	1.8%
Budget Propane Inc.	(159)	(22)	-	-	(181)	1.7%
Top 10	(6,391)	(283)	-	(546)	(7,220)	66.0%
Others	(3,365)	(119)	182	(417)	(3,719)	34.0%
Total	(9,756)	(402)	182	(963)	(10,939)	100.0%
<i>As a % of Total</i>	89.2%	3.7%	(1.7%)	8.8%	100.0%	

Source: Management provided information

AP Aging 31-Dec-22						
\$'000	Current	31-60	61-90	90 <	Total	As a % of total
Generac Power Systems, Inc.	578	(2,445)	(58)	(319)	(2,244)	17.6%
Aon Reed Stenhouse Inc.	(1,263)	-	-	-	(1,263)	9.9%
Canada Clean Fuels Inc.	(368)	(83)	-	-	(452)	3.5%
177448 Canada Ltd	(397)	-	-	-	(397)	3.1%
L.m. Generating Power Co	(374)	-	-	-	(374)	2.9%
Tedom A.s.	(23)	-	-	(263)	(285)	2.2%
Les Produits Energetiques Gal Inc	(252)	-	(1)	-	(253)	2.0%
Eaton Industries (canada) Company	(248)	-	-	-	(248)	1.9%
10926167 Canada Inc.	(223)	-	-	-	(223)	1.8%
Mazout G. Belanger Inc.	(222)	-	-	-	(222)	1.7%
Top 10	(2,792)	(2,528)	(59)	(581)	(5,961)	46.7%
Others	(5,852)	(603)	(232)	(116)	(6,803)	53.3%
Total	(8,644)	(3,131)	(292)	(697)	(12,765)	100.0%
<i>As a % of Total</i>	67.7%	24.5%	2.3%	5.5%	100.0%	

Source: Management provided information

AP Aging 31-Dec-21						
\$'000	Current	31-60	61-90	90 <	Total	As a % of total
Generac Power Systems, Inc.	(1,513)	(59)	(3)	(136)	(1,712)	18.6%
Blusta - Blue Star Power Systems Inc.(ach)	(588)	-	-	-	(588)	6.4%
Aon Reed Stenhouse Inc.	(539)	-	-	-	(539)	5.9%
Lancaster Group Inc	(497)	-	-	-	(497)	5.4%
Prigro - Tpg The Pritchard Group (eft)	(260)	-	-	-	(260)	2.8%
Canada Clean Fuels Inc.	(246)	-	-	-	(246)	2.7%
L.m. Generating Power Co	(211)	-	-	-	(211)	2.3%
Gal Power Systems Ottawa Ltd	(206)	-	-	-	(206)	2.2%
Jaywal Mechanical Ltd.	(198)	-	-	-	(198)	2.2%
Budget Propane Inc.	(181)	-	-	-	(181)	2.0%
Top 10	(4,439)	(59)	(3)	(136)	(4,637)	50.5%
Others	(4,064)	(291)	(18)	(169)	(4,543)	49.5%
Total	(8,503)	(351)	(21)	(305)	(9,180)	100.0%
<i>As a % of Total</i>	92.6%	3.8%	0.2%	3.3%	100.0%	

- Generac Power Systems is the Company's largest supplier of transfer switches, generators (Residential air-cooled stationary generators, Commercial QT and protector series generators, configured stationary generators and mobile generators).
- Generac provides 1.5% to 2.0% rebate when certain purchasing targets are met. The rebate is credited quarterly and annually. Refer to quality of earnings adjustment #6 for normalization of the credited rebates.
- The aging profiles also include intercompany transactions which net out at consolidation.

Rental utilization

Presented below is the utilization calculations for rental equipment from 2021 to TTM Mar-23 by entity and location.

Utilization TPGS												
#	Total days			On rent			Number of assets on rent			Percentage %		
	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23
Ontario	52,470	54,765	55,474	36,348	38,754	38,084	1,552	1,575	1,596	69.3%	70.8%	68.7%
LM	52,470	54,765	55,474	36,348	38,754	38,084	1,552	1,575	1,596	69.3%	70.8%	68.7%
Ontario/Quebec	45,901	47,574	47,394	33,182	32,683	31,294	1,318	1,318	1,284	72.3%	68.7%	66.0%
Quebec	-	-	90	-	-	90	-	-	3	-	-	100.0%
Ontario	-	-	180	-	-	16	-	-	1	-	-	8.9%
GAL Power	45,901	47,574	47,664	33,182	32,683	31,400	1,318	1,318	1,288	72.3%	68.7%	65.9%
Campbell River	6,205	3,285	3,195	1,951	1,405	1,105	88	57	46	31.4%	42.8%	34.6%
Edmonton	1,460	1,034	944	851	1,034	944	37	34	31	58.3%	100.0%	100.0%
Saint John	-	-	779	-	-	520	-	-	21	-	-	66.8%
Calgary	1,825	669	579	710	669	579	31	22	19	38.9%	100.0%	100.0%
Halifax	374	822	912	319	409	530	12	15	19	85.3%	49.8%	58.1%
Kamloops	3,285	1,821	1,371	689	596	528	41	28	23	21.0%	32.7%	38.5%
Ontario	-	2,362	1,372	-	445	101	-	21	7	-	18.8%	7.4%
Total Power	13,149	9,993	9,152	4,520	4,558	4,307	209	177	166	34.4%	45.6%	47.1%
Total	111,520	112,332	112,290	74,050	75,995	73,791	3,079	3,070	3,050	66.4%	67.7%	65.7%

Source: Management provided information.

- Historically, the Company faced supply chain issues leading to extension of projects, thereby increasing equipment utilization. Due to the longer term of the projects, the Company didn't have enough spare equipment to take on new projects, and thus had to turn away some of them.
- The Company purchased 36 additional generators to service future rental sales in 2022 and YTD May-23 overcoming the market challenges. Please refer to quality of earnings adjustment #9 for run rate impact of the new fleet.
- Utilization of assets on rent is expected to increase post ERP implementation owing to increased coordination between locations, resulting in less idle time for rental assets.

Capital expenditures

This schedule shows the annual Capex spend for TPL and LM for 2021, 2022 and TTM Mar-23.

PPE additions			
\$'000	FY21	FY22	TTM Mar-23
Rental equipment	2,666	2,810	3,796
Automotive Equipment	386	972	2,749
Fixed asset clearing account	211	1,292	1,135
Shop equipment	821	586	549
Computer Hardware	135	274	260
Leasehold improvements	31	69	67
Office equipment	1	10	14
Computer Software	73	49	8
FMV Adjustment on Acquisition-Oct 27/2019	-	-	-
PPE additions	4,324	6,062	8,578

Source: Management provided information

- In 2021, the Company couldn't purchase as many vehicles due to supply chain issues caused by the COVID-19 pandemic. However, post pandemic, vehicle capital expenditures increased as the existing fleet was replaced and new units were purchased to meet demand.
- Computer software capital expenditures in 2022 is driven by ERP system implementation throughout the Company.
- In TTM Mar-23, \$6.2 million of the assets are unfunded. Financed capex of \$2.4 million relates to trucks financed through Ford Finance.

Adjusted income statement – Gross profit (1/3)

Presented below is the adjusted income statement on a combined basis (and excludes the QofE pro forma adjustment)

Adjusted Income statement												
\$'000	Reported			Definitional adjustments			Adjustments			Adjusted		
	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23
Rental	43,479	56,800	57,996	-	-	-	-	-	-	43,479	56,800	57,996
Service, Fuel and Parts	47,119	51,940	55,775	-	-	-	-	-	-	47,119	51,940	55,775
Equipment	53,337	39,496	44,967	-	-	-	-	-	-	53,337	39,496	44,967
Sales	143,935	148,236	158,738	-	-	-	-	-	-	143,935	148,236	158,738
Rental	(22,789)	(28,118)	(28,697)	3,692	3,728	3,745	343	(343)	(343)	(18,754)	(24,733)	(25,295)
Service, Fuel and Parts	(28,363)	(31,171)	(33,158)	397	410	460	-	-	-	(27,967)	(30,761)	(32,698)
Equipment	(41,382)	(31,052)	(36,268)	-	-	-	-	(0)	(32)	(41,382)	(31,052)	(36,300)
Cost of sales	(92,534)	(90,341)	(98,123)	4,088	4,138	4,205	343	(343)	(375)	(88,103)	(86,546)	(94,293)
Gross profit	51,400	57,895	60,615	4,088	4,138	4,205	343	(343)	(375)	55,831	61,690	64,445
Operating expenses	(38,423)	(39,877)	(40,585)	3,617	4,024	4,535	1,495	1,193	1,041	(33,311)	(34,661)	(35,010)
Operating income	12,977	18,018	20,029	7,705	8,162	8,740	1,838	850	666	22,520	27,029	29,435
Other income and expenses	(5,689)	(9,874)	(10,406)	9,191	9,408	9,658	(2,599)	681	945	902	214	198
Net income/ adjusted EBITDA	7,288	8,144	9,624	16,896	17,570	18,398	(761)	1,530	1,611	23,422	27,244	29,633

Source: Management provided information, KPMG analysis

Note: Excludes QofE pro forma adjustments

- **Rental:** Efficient fleet management amongst GAL, LM, and TPL and reallocation of the Western fleet to locations with higher demand in Ontario and Quebec have contributed to the higher utilization rate for rental inventory. This has driven overall gross margin for rentals from \$24.7 million in 2021 to \$32.7 million in TTM Mar-23 on an adjusted basis. The definitional adjustments relate to add back of depreciation related to rental fleet.
- **Equipment:** The decline in gross profit from \$12.0 million in 2021 to \$8.7 million in TTM Mar-23 is due to the increased lead times driven by supply chain disruptions causing backlog build up (increase from \$46.4 million in 2021 to \$59.2 million in TTM Mar-23) and the slower conversion to revenue.
- **Service, Parts, & Fuel:** Relates to fuel system upgrades, maintenance, repairs and fuel polishing. Prior to 2022, fuel was presented within the service segment leading to nil revenue and cost of sales in 2021.

Adjusted income statement – Operating costs (2/3)

Presented below is the adjusted income statement on a combined basis.

Adjusted Income statement												
\$'000	Reported			Definitional adjustments			Adjustments			Adjusted		
	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23
Sales	143,935	148,236	158,738	-	-	-	-	-	-	143,935	148,236	158,738
Cost of sales	(92,534)	(90,341)	(98,123)	4,088	4,138	4,205	343	(343)	(375)	(88,103)	(86,546)	(94,293)
Gross profit	51,400	57,895	60,615	4,088	4,138	4,205	343	(343)	(375)	55,831	61,690	64,445
Payroll	(24,929)	(24,899)	(25,062)	-	-	-	596	23	11	(24,333)	(24,875)	(25,052)
Interest	(2,563)	(2,947)	(3,439)	2,557	2,913	3,405	6	34	34	-	-	-
Rent and building	(2,869)	(3,076)	(3,083)	-	-	-	-	180	119	(2,869)	(2,896)	(2,964)
Vehicle expenses	(1,463)	(1,595)	(1,595)	-	-	-	-	-	-	(1,463)	(1,595)	(1,595)
Insurance	(860)	(1,347)	(1,369)	-	-	-	-	-	-	(860)	(1,347)	(1,369)
Other operating expenses	(5,739)	(6,014)	(6,037)	1,060	1,110	1,130	893	956	877	(3,786)	(3,948)	(4,030)
Operating expenses	(38,423)	(39,877)	(40,585)	3,617	4,024	4,535	1,495	1,193	1,041	(33,311)	(34,661)	(35,010)
Operating income	12,977	18,018	20,029	7,705	8,162	8,740	1,838	850	666	22,520	27,029	29,435
Other income and expenses	(5,689)	(9,874)	(10,406)	9,191	9,408	9,658	(2,599)	681	945	902	214	198
Net income/ adjusted EBITDA	7,288	8,144	9,624	16,896	17,570	18,398	(761)	1,530	1,611	23,422	27,244	29,633

Source: Management provided information, KPMG analysis

Note: Excludes QoFE pro forma adjustments

- **Payroll:** Includes salaries, commissions/bonuses, benefits, and payroll taxes. Following the new ERP system implementation, enterprise wide processes will be streamlined, eliminating the need for duplicative roles, reducing payroll costs going forward.
- **Interest:** Comprised of interest on long-term non-revolving installment loan and vehicle loans. These expenses have been added back as a definitional adjustment for EBITDA.
- **Rent and building:** Includes rental expenses on 17 warehouse facilities across AB, BC, NS, ON, QC, NFLD, and NB. In October 2022 the Statesman facility lease in the GTA was discontinued. As such, lease expense related to this facility has been added back to EBITDA in quality of earnings adjustment #4.
- **Vehicle expenses:** Mainly relates to vehicle expenses incurred during project execution, including transporting equipment, parts, and personnel to customer sites.
- **Insurance:** Relates to business insurance and accounts receivable insurance with AIG for registered credits over \$5,000.
- **Other operating expenses:** Mainly includes Management fees to Trivest which have been added back to EBITDA as they will no longer be incurred post transaction. Other operating expenses include rent and maintenance of properties, depreciation and amortization (added back to EBITDA as a definitional adjustment), food, entertainment and travel expenses. ERP expenses and professional expenses under other operating expenses have been adjusted for in quality of earnings adjustment #1 as they are non-recurring in nature.

Adjusted income statement – Other income & expenses (3/3)

Presented below is the adjusted income statement on a combined basis.

Adjusted Income statement												
\$'000	Reported			Definitional adjustments			Adjustments			Adjusted		
	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23	FY21	FY22	TTM Mar-23
Sales	143,935	148,236	158,738	-	-	-	-	-	-	143,935	148,236	158,738
Cost of sales	(92,534)	(90,341)	(98,123)	4,088	4,138	4,205	343	(343)	(375)	(88,103)	(86,546)	(94,293)
Gross profit	51,400	57,895	60,615	4,088	4,138	4,205	343	(343)	(375)	55,831	61,690	64,445
Operating expenses	(38,423)	(39,877)	(40,585)	3,617	4,024	4,535	1,495	1,193	1,041	(33,311)	(34,661)	(35,010)
Operating income	12,977	18,018	20,029	7,705	8,162	8,740	1,838	850	666	22,520	27,029	29,435
Amortization - intangibles	(5,516)	(5,309)	(5,279)	5,516	5,309	5,279	-	-	-	-	-	-
Non-recurring expenses and fees	(99)	(620)	(830)	-	-	-	90	613	823	(9)	(8)	(8)
Depreciation of fmv bump up	(882)	(707)	(672)	882	707	672	-	-	-	-	-	-
Restructuring expenses	(441)	(53)	(81)	-	-	-	441	37	44	-	(16)	(37)
Covid-19 supplies and services	(25)	(14)	(18)	-	-	-	-	-	-	(25)	(14)	(18)
Non-operating expenses	(6,964)	(6,703)	(6,879)	6,398	6,016	5,950	531	650	867	(34)	(37)	(62)
Other expense	(2,406)	(3,504)	(3,858)	2,793	3,392	3,708	(247)	47	93	140	(66)	(57)
Other income	3,681	333	332	-	-	-	(2,883)	(16)	(15)	797	317	316
Other income and expenses	(5,689)	(9,874)	(10,406)	9,191	9,408	9,658	(2,599)	681	945	902	214	198
Net income/ adjusted EBITDA	7,288	8,144	9,624	16,896	17,570	18,398	(761)	1,530	1,611	23,422	27,244	29,633

Source: Management provided information, KPMG analysis

Note: Excludes QoE pro forma adjustments

- **Non-operating expenses:** Mainly relates to expenses incurred due to non- recurring events such as COVID-19, restructuring initiatives, acquisitions and amalgamations. Refer to quality of earnings section add backs related to the expenses as they are non-recurring in nature.
- **Other income:** Includes Government subsidies received by the Company as a part of CEWS which have been excluded from EBITDA in quality of earnings adjustment #7. Remaining balance includes aged customer credits and credit card annual rebate.
- **Other expense:** Gains and losses on the disposition of assets have been removed from EBITDA as it is does not relate to core operations of the Company and may be non-cash in nature. Unrealized foreign exchange gains and losses have been adjusted out of EBITDA as they are non-cash in nature, leaving only realized foreign exchange gains and losses in adjusted EBITDA.

Important notice

This report is provided to 177448 Ltd ("Client" or "You") on a confidential basis pursuant to our engagement letter dated April 23, 2023 ("Engagement Letter") and is subject in all respects to the terms and conditions of the Engagement Letter, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

KPMG approach

Our report makes reference to 'KPMG Analysis'; this indicates only that we have (where specified) undertaken certain analytical activities on the underlying data to arrive at the information presented; we do not accept responsibility for the underlying data.

The analysis of 'normalized'/'underlying' earnings and working capital is for indicative purposes only. We have sought to illustrate the effect on EBITDA/working capital of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional' using criteria established by the Vendors/Target. However the selection and quantification of such adjustments are necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'normalized'/'underlying' earnings/working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings/working capital for future periods may be affected by such items, which may be different from the historical items.

The last twelve months/LTM run rate analysis has been prepared for illustrative purposes. There is no authoritative literature or common standard with respect to the calculation of 'run rate' EBITDA, and therefore there is no basis on which to state whether, in the illustrative analysis of 'run rate' EBITDA, all appropriate and comparable adjustments have been made. We have set out in our report the basis on which items have been included in or excluded from the run rate calculations for particular years. It is for you to satisfy yourselves as to whether the items included or excluded are appropriate for your purposes. The decision as to what items should be included in or excluded from the calculation of 'run rate' EBITDA is highly judgmental; you may choose to interpret the information presented differently.

The prospective financial information set out within our report has been prepared by Target; we do not accept responsibility for such information. We must emphasize that the realization of the prospective financial information is dependent on the continuing validity of the assumptions on which it is based. The assumptions will need to be reviewed and revised to reflect any such changes in trading patterns, cost structures or the direction of the business as they emerge. We accept no responsibility for the realization of the prospective financial information. Actual results are likely to be different from those shown in the prospective financial information because events and circumstances frequently do not occur as expected, and the differences may be material.

The net debt analysis has been prepared to assist in considering those items which may be 'debt like'. There is no authoritative literature or common standard with respect to the identification of items which may form part of 'debt' or 'net debt', and the decision as to what items should be included or excluded is highly judgmental. Accordingly, there is no basis on which to state whether in the analysis of net debt, all appropriate and comparable items have been included, and that there are no items that might be judged by some to be inappropriate or that all appropriate adjustments have been made. We have set out in our report the basis on which items have been included, excluded, or adjusted in the net debt analysis. You may choose to analyze the information presented differently.

Some reporting sections contain links to supplementary data, such as Excel databooks and/or Power BI dashboards. Access to such supplementary data is limited to the recipients of this report and may not be accessible by any third parties. Gaining access to areas within provided supplementary data or to any other online application of KPMG to where access was not granted is not allowed.

We accept no responsibility or liability for the findings or reports of legal and other professional advisers even though we have referred to their findings and/or reports in our analysis

The contents of our report have been reviewed in detail by Client who have confirmed in writing the factual accuracy of this report.

Glossary of terms and abbreviations

AASB	Auditing and Assurance Standards Board	ERP	Enterprise resource planning
ADP	Automatic Data Processing	FMV	Fair Market Value
AIG	American International Group	FTE	Full-time equivalent
AP	Accounts payable	GL	General Ledger
AR	Accounts receivable	GTA	Greater Toronto Area
ASPE	Accounting standards for private enterprises	HR	Human Resource
Capex	Capital expenditure	IT	Information technology
CBRE	Coldwell Banker Richard Ellis	KPI	Key performance indicator
CEO	Chief executive officer	M&A	Mergers and acquisitions
CERS	Canada Emergency Rent Subsidy	Management	Management of the Company, In this report the CFO, Ms Janice, Campbell
CEWS	Canada Emergency Wage Subsidy	Max	Maximum
CFO	Chief Finance Officer	Min	Minimum
CHP	Combined heat and power	NWC	Net working Capital
Client/ Target	177448 Canada Ltd.	QofE	Quality of earnings
COGS	Cost of goods sold	SG&A	Selling, General, and Administrative Expenses
CPP	Canada Pension Plan	SMART	Specific, Measurable, Achievable, Relevant, Time-bound
DIO	Days inventory outstanding	TPGS	Total PowerGen Solutions
DPO	Days payable outstanding	TTM	Trailing twelve month
DPSP	Deferred profit-sharing plans	VP	Vice president
DSO	Days sales outstanding	WIP	Work in progress
EBITDA	Earnings before interest, tax, depreciation and amortization	YoY	Year on year
EHT	Employer Health Tax	YTD	Year to date



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